Empowered lives.
Resilient nations.

United Nations Development Programme

Project title: Capacity building for Emission Trading and Strengthened MRV in the Republic of Belarus		
Country: Republic of Belarus	**Implementing Partner:** Ministry of Natural Resources and Environmental Protection of the Republic of Belarus (MNREP)	**Management Arrangements:** National Implementation Modality (NIM)
UNDAF/Country Programme Outcome: This project will contribute to achieving the UNDP Belarus Country Programme 2016-2020 (Output 3.1: Solutions developed at national and subnational levels for the sustainable management of natural resources, ecosystem services, chemicals and waste) and UNDAF for Belarus for 2016-2020 (Outcome 3.1: By 2020, policies will have been improved and measures will have been effectively implemented to increase energy efficiency and the production of renewable energy, to protect landscape and biological diversity, and to reduce the anthropogenic burden on the environment)		
UNDP Strategic Plan Outputs: OUTPUT 2.4.1 Legal and regulatory frameworks, policies and institutions strengthened, and solutions adopted, to address conservation, sustainable use and equitable benefit sharing of natural resources, in line with international conventions and national legislation OUTPUT 2.5.1 Solutions developed, financed and applied at scale for transformation to clean energy and zero-carbon development		
UNDP Social and Environmental Screening Category: *low*	**UNDP Gender Marker:** *1*	
Atlas Project ID (formerly Award ID): *00106273*	**Atlas Output ID (formerly Project ID):** *00107084*	
UNDP-GEF PIMS ID number: 6161	**GEF ID number:** 9895	
Planned start date: *May 2019* *The project's actual start date is the date when the last of the signs the project document*	**Project duration:** *36 months*	
LPAC meeting date: *December 21, 2018*		
Brief project description: The project is aimed at assisting the Government of the Republic of Belarus to implement its greenhouse gas (GHG) emission reduction commitments under the Paris Agreement to the UNFCCC in the context of national sustainable development goals. Specifically, project objective is to build Belarus' capacities to design and implement market-based climate finance mechanisms, to improve and continuously update its Nationally Determined Contribution (NDC), as well as to set-up a robust Measurement, Reporting and Verification (MRV) system for GHG emissions in the priority sectors. The project consists of three inter-linked components. The first component addresses capacity and knowledge constraints related to preparation and update of national and sectoral NDC targets, as well as limited awareness about market-based climate finance mechanisms in Belarus. Under the second component the project will set-up and strengthen MRV system, specifically for the priority sectors identified in NDC. The third component in partnerships with local and international organizations and initiatives will support the development and implementation of MRV pilots in selected sectors to gain practical experience and facilitate interactions and learning-by-doing for all stakeholders involved in the MRV system.		

FINANCING PLAN	
GEF Trust Fund	USD 840,000
(1) Total Budget administered by UNDP	**USD 840,000**
PARALLEL CO-FINANCING (*all other co-financing that is not cash co-financing administered by UNDP)*	
UNDP (via parallel EU4Climate project)	USD 1,030,000
Government	USD 6,927,500
Other partners	USD 109,780
(2) Total co-financing	**USD 8,067,280**
(3) Grand-Total Project Financing (1)+(2)	**USD 8,907,280**

SIGNATURES		
Signature: print name below	**Agreed by Government**	**Date/Month/Year:**
Signature: print name below	**Agreed by UNDP**	**Date/Month/Year:**

I. TABLE OF CONTENTS

I. Table of Contents....3
II. Development Challenge....6
III. Strategy....13
IV. Results and Partnerships....15
V. Project Management....29
VI. Project Results Framework....31
VII. Monitoring and Evaluation (M&E) Plan....34
VIII. Governance and Management Arrangements....38
IX. Financial Planning and Management....42
X. Total Budget and Work Plan....45
XI. Legal Context....49
XII. Risk Management....49
XIII. Mandatory Annexes....51
Annex A. Multi-year Workplan....52
Annex B. GEF Core Indicator at baseline....53
Annex C. Overview of technical consultancies and contracts....56
Annex D. Terms of Reference for key project staff....58
Annex E. UNDP Social and Environmental and Social Screening (SESP)....61
Annex F. Stakeholders Involvement Plan....68
Annex G. Gender Analysis and Action Plan....69
Annex H. UNDP Risk Log (to be completed by UNDP Country Office)....72
Annex I. PROVISION OF UNDP COUNTRY OFFICE SERVICES IN IMPLEMENTATION OF THE PROJECT "CAPACITY BUILDING FOR EMISSION TRADING AND STRENGTHENED MRV IN THE REPUBLIC OF BELARUS"....76
Annex J. UNDP Project Quality Assurance Report (to be completed in UNDP online corporate planning system by UNDP Country Office)....79
Annex K. Co-financing letters....80

List of Tables

Table 1 Summary of INDC of the Republic of Belarus: Climate Change Mitigation....7
Table 2 Recommendations for sectoral MRV coverage....9
Table 3 Market-based climate finance mechanisms....11
Table 4 Barriers to Climate Change Mitigation in the Republic of Belarus....13
Table 5 Proposed MRV pilots under Component 3....19
Table 6 Project risks and risk mitigation measures....24
Table 7 Stakeholder engagement plan....26
Table 8 Global Environmental Benefits: Energy efficiency in buildings....29
Table 9 Global Environmental Benefits: Energy efficiency in public lighting....29
Table 10 Global Environmental Benefits: Peatland restoration....29
Table 11 Criteria for pilot MRV project selection and GHG expected global environmental benefits....30
Table 12 M&E Requirements and Budget....36
Table 13 Project co-financing....42

List of Figures

Figure 1 GDP and GHG Emissions in the Republic of Belarus: 1995-2016.....6
Figure 2 GHG emissions in the Republic of Belarus in 1990 - 2030, mln tCO2e.....7
Figure 3 Theory of Change.....14
Figure 4 Key elements of the facility-based MRV system.....17

List of Acronyms

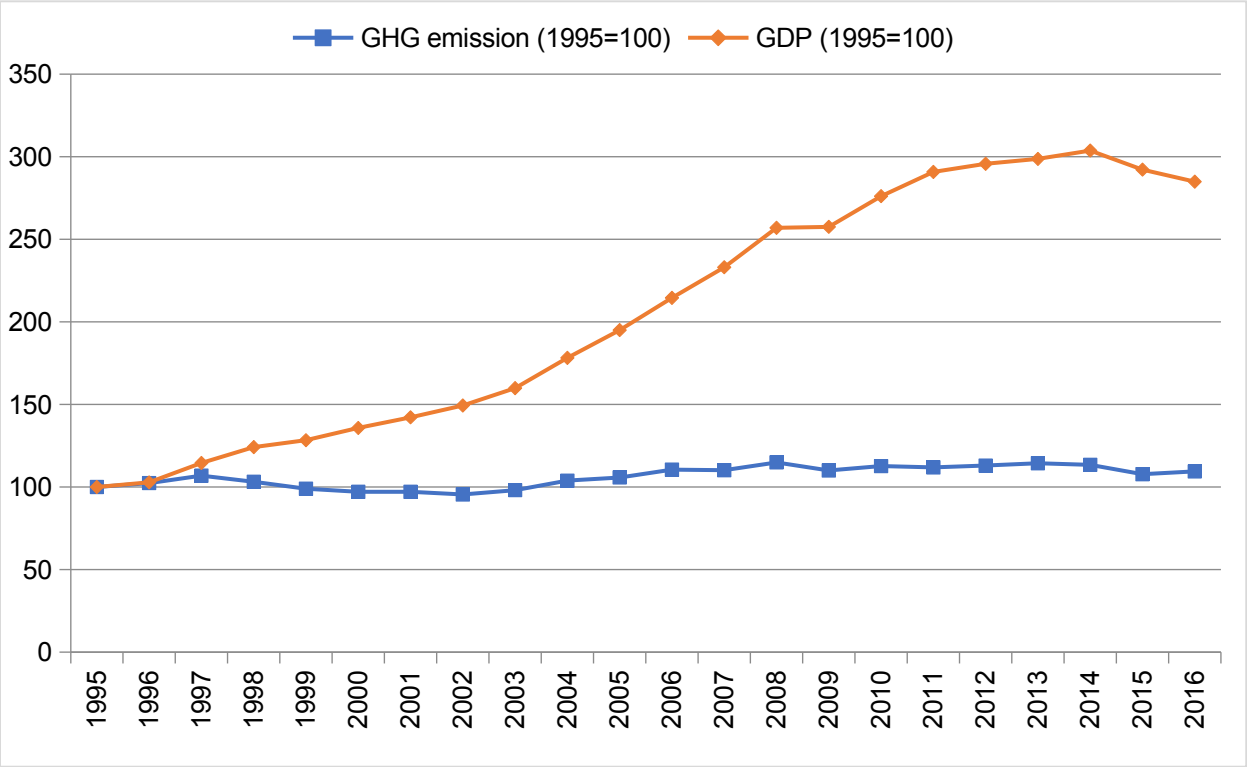
AFOLU	Agriculture, forestry and other land-use sectors
CA	Cooperative approaches
CTA	Chief Technical Advisor
EE	Energy efficiency
ETS	Emission Trading Scheme
EU	European Union
GEF	Global Environment Facility
GEFSEC	Global Environment Facility Secretariat
GHG	Greenhouse Gases
"Green Cities" Project	UNDP-GEF project "Belarus: Supporting Green Urban Development in Small and Medium-Sized Cities in Belarus"
IP	Implementing Partner
ITMO	Internationally Transferrable Mitigation Obligations
LULUCF	Land Use, Land Use Change and Forestry
MSP	Medium Sized Project
MRV	Measurement, Reporting and Verification
NDC	Nationally Determined Contribution
NC	National Communication to UNFCCC
PIF	Project Identification Form
PIR	GEF Project Implementation Report
PMU	Project Management Unit
POPP	Programme and Operations Policies and Procedures
PPG	Project Preparation Grant
SEAP	Sustainable Energy Action Plan
SSP	State Sectoral Program
STAP	GEF Scientific Technical Advisory Panel
UNFCCC	United Nations Framework Convention on Climate Change
UNDP	United Nations Development Programme
UNDP-GEF	UNDP Global Environmental Finance Unit
VCS	Voluntary Carbon Standard
WB	World Bank
INDC	Intended nationally determined contribution

II. DEVELOPMENT CHALLENGE

GHG emission profile of the Republic of Belarus

1. Belarus emitted about 91,5 million tonnes of CO2e in 2016 excluding land use Land use, land-use change and forestry (LULUCF)[1], which is about 0.17% of the global GHG emissions[2]. While the economy grew by almost 300% during the period between 1995 and 2015, the level of greenhouse gas (GHG) emissions remained relatively stable, i.e. an increase of only 9% compared to 1995 level has been recorded (Figure 1). This is largely due to implementation of energy efficiency policies and measures and reduction in the share of oil in the total primary energy supply from 1990 to 2016. Approximately 61% of the GHGs was emitted from the energy use, followed by agriculture (25%) and waste (7%). The country is also a large net sink of carbon, i.e. about 21,9 million tCO2e.

Figure 1 GDP and GHG Emissions in the Republic of Belarus: 1995-2016



Source: Data of the GHG National Inventory Report 2018

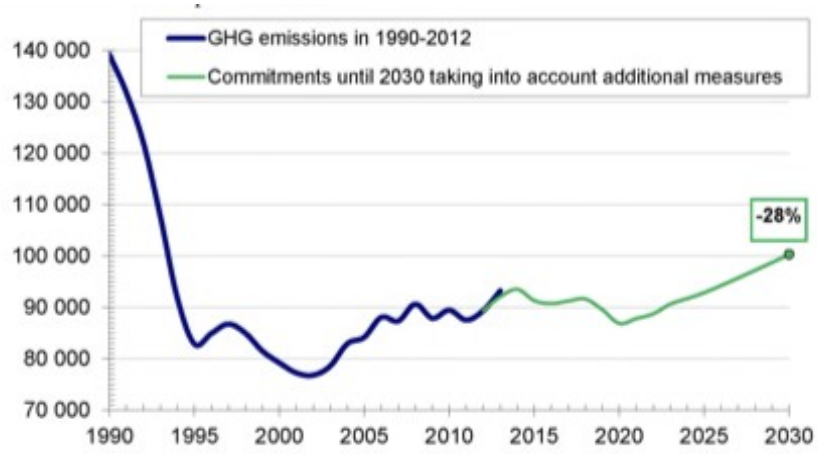
2. Belarus has submitted its intended nationally determined contribution (INDC) to the UNFCCC in 2015[3] with an absolute GHG emission reduction target. In its INDC, Belarus undertakes by 2030 to reduce GHG emissions by at least 28 % of the 1990 level, excluding emissions and removals in the land use, land-use change and forestry sector and without any additional conditions (the commitments do not imply the use of the international carbon market mechanisms or mobilizing foreign financial resources for the implementation of best available technologies to reduce greenhouse gases).
3. As shown above, the country has managed to prevent its GHG intensity per unit of GDP from increasing over the past decade. Further, as a result of expected commissioning of a new nuclear power plant around the year 2020, it is expected that GHG emissions would decrease or at least remain flat. However, potential for sustained low-carbon economic growth beyond 2020 is very limited since most of cost-effective options to reduce GHG emissions have been realized in the last decade. Therefore, it is anticipated that continued economic growth would lead to an increase in GHG emissions in the period 2020 – 2030 as illustrated at Figure 2. However, more detailed analysis and projections as regards future GDP growth and GHG emissions trajectories have to be made to help Belarus to update and potentially improve the scope of its NDC.

[1] GHG National Inventory Report 2018

[2] Global GHG emissions were estimated at 51,9 GtCO2e in 2016 by UNEP Emission Gap Report 2017. Available at https://wedocs.unep.org/bitstream/handle/20.500.11822/22103/EGR_2017_ch_2.pdf?sequence=1&isAllowed=y

[3] http://www4.unfccc.int/ndcregistry/PublishedDocuments/Belarus%20First/Belarus_INDC_Eng_25.09.2015.pdf

Figure 2 GHG emissions in the Republic of Belarus in 1990 - 2030, mln tCO2e



Source: INDC

National climate policies and commitments

4. Belarus's INDC does not explicitly provide a list of priority sectors or measures for climate actions, but it provides a range of information on relevant policy documents and reports that have been internationally communicated. These include the Sixth National Communication, submitted to the UNFCCC in 2013 and revised in 2015, the Biennial Report to the UNFCCC in 2015, other domestic legal and policy documents. The 7th National Communication is under preparation now in frame of the GEF/UNDP project and will be officially submitted to UNFCCC.

Table 1 Summary of INDC of the Republic of Belarus: Climate Change Mitigation

Scope of action	Targets	Priority sectors for mitigation actions
Mitigation	To reduce GHG emissions by at least 28% by 2030 below 1990 level. (Whether to include LULUCF to be determined by 2020)	Not specified, but INDC refers to the Sixth National Communication (NC6) where national and sector specific programmes are listed. The action areas specifically mentioned in NC6 include: • energy; • transport; • industrial processes; • agriculture; • land-use change and forestry; and • waste management.

5. In accordance with Paragraph 2 of Article 5 of the Paris Agreement, the Government of the Republic of Belarus developed and approved on February 3, 2017, the Action Plan for the implementation by the Republic of Belarus of the provisions of the Paris Agreement, which contains the main measures aimed at the implementation of its provisions. In accordance with decision items 22, 24, 25, 27, 32 paragraphs 2, 3 of Article 4 of the Paris Agreement, a **second NDC** of the Republic of Belarus will be prepared which will contain more ambitious commitments of the Republic of Belarus to reduce GHG emissions and increase GHG absorption based on the greenhouse gas sinks indicated in the proposed NDC of the Republic of Belarus submitted to the UNFCCC secretariat in September 2015. Whereas in the first nationally defined contribution, there are no commitments to increase the absorption of greenhouse gases by sinks for the Republic of Belarus, this situation will change in the second NDC where this issue will be addressed. In accordance with decision 1 / CP.21, paragraph 35, Article 4, paragraphs 1, 19 of the Paris Agreement, a Long-Term Development Strategy for the Republic of Belarus with low greenhouse gas emissions for the period up to 2050 will be developed, the main objective of which is to achieve a balance between anthropogenic emissions from sources and removals by sinks of greenhouse gases by 2050 .
6. Belarus has set several policy documents to pursue low-carbon, climate-resilient development, such as the Energy Security Concept, the Law on Renewable Energy Sources, the Law on Energy Savings, and the National Strategy for Sustainable Development until 2030. The Ministry of Natural Resources and Environmental Protection of the Republic of Belarus is implementing the State Program "Environmental Protection and Sustainable Use of Natural Resources"

for the period 2016-2020 approved by the Decision of the Council of Ministers of the Republic of Belarus at March 17, 2016 No. 205. Within the framework of the implementation of subprogramme 2, "Development of the State Hydrometeorological Service, mitigation of the effects of climate change, improvement of air quality and water resources", mitigation measures on climate change, increasing absorption of greenhouse gases and adaptation to climate change are envisaged. Currently, the National Strategy for Sustainable Development of the Republic of Belarus for the period until 2035 is under preparation and will be adopted, as expected, in 2019. This Strategy will replaces the existing National Strategy for Sustainable Development until 2030 and it is required to include in this document the framework for ensuring low-carbon economic growth of the country.

7. Regarding carbon market mechanisms, Belarus has adopted back in 2005-2006 a number of policy and regulatory documents enabling implementation of the **Kyoto Protocol mechanisms** in Belarus. Specifically, the Resolution of the Council of Ministers "About implementation of the provisions of the Kyoto Protocol to the United Nation Framework Convention on Climate Change" has been approved in December 2005, including the Action Plan for Kyoto Protocol implementation in the period of 2005-2012. However, due to Belarus being late to join the Protocol, the country hasn't been included in the Annex I and therefore couldn't participate in Kyoto Protocol mechanisms despite domestic regulatory framework being in place. Having missed the opportunity to get involved in and gain practical experience with the market-based climate finance mechanisms under the Kyoto Protocol, the Republic of Belarus has now taken more pro-active position and aspires to become a full-fledged participant of the Paris Accord, including participation in the Article 6 mechanisms.

Investment in national climate actions in Belarus

8. ***Domestic financing mechanisms:*** National climate change mitigation actions in Belarus are being largely funded through a range of State Sectoral Programs (SSPs) under auspices of relevant line/sectoral Ministries, as follows:

   - State Program "Belarusian Forest" (2016-2020) is aimed at creating and promoting sustainable forest management system and practices. It supports establishment of the forest inventory and monitoring system, introduction of more effective forest management practices, including measures aimed at protecting and increasing carbon stock and other ecological functions of the forests.
   - State Program "Comfortable Housing and Favorable Living Environment" (2016-2020) enables investment in modernization of communal infrastructure and housing. Specifically, under its two sub-programs "Modernization and Increasing Efficiency of Heat Supply" and "Building Renovation", it is planned to allocate over 4 mln USD for a range of EE measures in buildings (over 3,6 mln m2) and heat supply systems.
   - The State Program "Buildings Construction" (2016-2020) is aimed to create conditions for citizens to meet their need in affordable and comfortable dwelling by gradually increasing the volume of construction of residential buildings with a specific heat energy consumption for heating and ventilation corresponding to the buildings of energy efficiency classes A+ and A. By 2020, the share of residential buildings with high energy efficiency classes is planned to be increased up to 20 percent of all energy-efficient buildings.
   - Sectoral Program for Energy Sector Development in 2016-2020 envisages large investment (over 50 mln USD) in measures with anticipated GHG emission reduction impact, such as installation of energy efficient boilers, development and modernization of heat supply networks, etc.
   - Sectoral peat industry development program 2017-2020 will support ecological restoration of about 3,800 hectares of degraded peatlands and their transfer to other type of land users

9. ***Climate-related development finance***: During the period 2013-14, USD 140 million per year of climate-related development finance was committed to Belarus, most of which (99%) was to be provided to mitigation actions, mainly energy efficiency, but also renewable energy and sustainable transport (to a lesser extent), as well as sustainable forest management. Climate related development finance is dedicated for development in the field of climate change and reducing greenhouse gas emissions, increasing the absorption of greenhouse gases, adapting to climate change. The level of international commitments to Belarus is lower than the average among the countries of the former Soviet Union during this period. The energy sector receives the largest amount of climate-related development finance in 2013 and 2014 (approximately USD 90 million: about 65% of total). Investments in the energy sector were committed by the World Bank to renewable energy (biomass heat supply) and energy efficiency projects. Finance for the transport sector also consists of a large project supported by the EBRD on the construction and commissioning of a production plant for greener passenger trains, trams and trolleybuses in the country. The size of climate-related development finance committed to the agriculture and forestry sectors was very small, even although Belarus's INDC stresses the vulnerability of those sectors to climate change and potential for climate change mitigation. Investments in these sectors are largely financed by domestic sources under relevant SSPs and are largely insufficient to address substantial needs and potential for climate actions in this sector.

Measurement Reporting and Verification (MRV)

10. MRV is a general term describing the process of measuring and collecting data on GHG emissions or mitigation actions, compiling and reporting this information to a respective program, and then subjecting this reported data to a third-party review and verification. The MRV process can be applied to: 1) the reporting of GHG emissions by a facility covered by the emission trading scheme (ETS); and 2) the generation of carbon offset credits through the development and implementation of GHG offset projects. Under the Paris Accord, MRV is mandatory. Under Article 13, the enhanced transparency framework, all Parties must regularly provide information necessary to track progress made in implementing and achieving its NDC. This information then in turn will undergo an independent technical review to be facilitated by UNFCCC. The exact provision for establishing MRV system for NDC are being currently worked out and expected to be finalized and approved at the next Meeting of the UNFCCC Conference of Parties (COP) in 2019. In addition, the National Platform for Statistical Reporting of the Sustainable Development Goals (SDG) Indicators is currently being developed in the Republic of Belarus. During the project implementation stage it will be necessary to adjust the system of the MOU and the statistical reporting system according to the indicators of the SDG to an agreed form.
11. The basic criteria for GHG measurement and reporting **at the facility level** include: GHGs reported, reporting thresholds, selection of sectors to be covered, reporting timing, emission factors and specific emission calculation methodologies. All these components of MRV system has to be addressed and enacted through regulations so that the system became mandatory for implementation.
12. Offset projects must follow the accepted protocols, which ensure that each project meets the essential offset criteria (real, additional, permanent, verifiable, quantifiable, enforceable). An important component of any protocol is the methodology and equations to calculate the amount of emissions reductions generated by an offset project. **Specific offset methodologies (protocols)** are developed for each offset project type. Protocols can be developed on a project-specific basis or use a standardized approach (performance-based or activity-based).
13. **Verification Bodies** (VBs or Verifiers) are third-party companies that are either accredited or approved (by the national governments, international body and/or other appointed entities as set-up in the rules governing respective GHG emissions mitigation action) to review the submitted reports of GHG reporters or carbon offset projects. VBs assess whether the submitted reports meet all requirements of the GHG reporting or carbon offset program as well as the applicable protocol. Typical verification criteria include program-specific requirements, a reasonable level of assurance, and 5% materiality thresholds. In most programs, VBs are required to be accredited to the International Organization for Standardization (ISO) standards of 14065, 14064-3 and 14066. VBS are certified to these standards by an appropriate accreditation body.
14. Components of MRV system have already been addressed in the national legislation in Belarus. Belarus adopted the Plan of Actions for Greenhouse Gas Emission Control for 2015-2017 approved by the Deputy Prime Minister of the Republic of Belarus Rusy M. I. (No. 06/214-278 of 20.12.2014) and this Plan included a package of works for establishing the national GHG emission trading system and its MRV by 2017; however the implementation of the Plan faces with issues due to the lack of clear rules and procedures in the implementation of the Paris Agreement.
15. The Republic of Belarus has also undertaken a number of relevant activities related to MRV over recent years. Specifically, under EU ClimaEast project in 2015-2017 a study of major GHG emitters was carried. It generated essential data and provided a framework for establishment of MRV system in the country, as well as recommendations for future MRV system design in Belarus. Its key lessons and conclusions, which informed the design of this project are the following:

- At the initial stage of MRV system development, only the sectors, “Energy” and “Industrial processes”, could be covered by facility-level MRV system due to well-established processes and protocols for relevant data collection at the level of individual facilities/installations in Belarus. It is also suggested in line with relevant international approaches and best practices to cover only installations/systems with a certain level of installed capacity, e.g. in MW for electricity generation (as opposed to volume of produced outputs, i.e. MWh of electricity produced) and do so following a phased approach, starting with a pilot phase which would cover only a limited number of largest installations and facilities (e.g. only those falling under jurisdiction of the State-owned BelEnergo Company)
- Design and implementation of robust MRV system for sectors, such as “Waste” and “LULUCF” is more complex; it requires establishment of data collection system and protocols, appropriate methodologies and approaches for GHG emission monitoring at sectoral level, as well as their independent verification.

Table 2 Recommendations for sectoral MRV coverage

Sector	Recommendation
Energy	Recommended for inclusion in national MRV, only for large emitters, phased approach.
Industrial process	Recommended for inclusion, phased approach, key industrial sectors to be covered: cement.
Agriculture	Not recommended due to complexity of data collection, lack of transparency and high level of uncertainty.
Waste	Partially recommended, only for a limited number of landfills and based on initial pilots.

Source: EU ClimaEast project report

16. ***MRV in Agriculture, Forestry and Other Land-Use Sector (AFOLU)***: in Belarus, the AFOLU sector represents 26% of total GHG emissions, being the second largest GHG sector after energy. The sector is unique among the others as it accounts not only for emissions of GHG, but also for removals of CO2 from the atmosphere due to the capacity of Belarus's key ecosystems to act as a sink for carbon in carbon pools. In addition, the project will assist in the achievement of the indicators of SDG 15 "Life on Land".

    - Forests: Starting from the year 2002 and based on the Resolution of the Cabinet of Ministers from 12.07.2001 #1031 "On the procedures for conducting state forestry cadaster", annual forestry cadaster is being prepared. Data on forest fires and biomass removals are being supplied by the National Statistics Agency. Based on this data and in line with UNFCCC best practice guidance for LULUCF sector GHG emissions, amount of carbon stock is being estimated at the sectoral level on an annual basis using GIS remote sensing.
    - Peatlands: Belarus is one of the leading global hotspots of GHG emissions from degraded peatlands, cca 400,000 ha. However, monitoring GHG emissions from peatland ecosystem is hampered due to complex nature of ecological processes and complicated data collection and monitoring processes. Recently, a methodology for assessing GHG emissions from peatlands using vegetation as a proxy has been developed and tested in Belarus. The methodology includes mapping of vegetation types characterized by the presence and absence of species groups indicative for specific water level classes. GHG flux values are assigned to the vegetation types following a standardized protocol and using published emission values from plots with similar vegetation and water level in regions with similar climate and flora. Carbon sequestration in trees is accounted for by estimating the annual sequestration in tree biomass from forest inventory data. The method follows the criteria of the Voluntary Carbon Standard (VCS) and has been officially approved in 2017 (VM0036)[4]. This is the first VCS methodology to focus on temperate peatlands. Additionally, it utilizes a unique model known as a GEST, or Greenhouse gas Emission Site Type, approach, which uses direct measurement of ground vegetation composition and water table depth as proxies for peatland GHG emissions. However, due to the absence of national policies and regulations, application of this methodology is not possible, and so is the marketing and potential transfer/sales of emission reduction units from peatland restoration projects, neither domestically, nor internationally.

17. To sum up, Belarus has taken upon itself significant commitments to contribute to the global climate change mitigation under its NDC and is working towards updating it and incorporating more ambitious targets for GHG emission abatement. To help enable Belarus to achieve its climate change mitigation commitment in the most cost-effective way, it is essential to build capacities and essential infrastructure for implementation of market-based climate finance mechanisms. The level of climate finance Belarus will be able to mobilize domestically and through the climate-related development finance flows, however, is not sufficient to support these ambitions. Belarus is yet to explore the application of market-based mechanisms for cost-effective GHG emission reduction and for this robust MRV system has to be set-up. In this respect, the constantly evolving international climate finance opportunities may provide additional opportunities and support to Belarus to realize such commitments in the most cost-effective manner.
18. ***Global context***: Article 6 of the Paris Agreement recognizes that Parties can voluntarily cooperate on the implementation of their NDCs to facilitate higher ambition in mitigation and adaptation actions. It envisages under Article 6.2 cooperative approaches (CA), where Parties could opt to meet their NDCs by using internationally transferred mitigation outcomes (ITMOs). ITMOs aim to provide a basis for facilitating international recognition of cross-border applications of subnational, national, regional and international *carbon pricing initiatives*. ITMOs can be used to meet the NDC of either the host country or another country. The mechanism is intended to incentivize mitigation activities by both public and private entities. However, the precise nature of ITMOs and the architecture of the Article 6 mechanism are both still under discussion and is expected to be developed and adopted by the next Conference of Parties (COP) to UNFCCC in the end of 2018.
19. In parallel to these international developments, regional, national and subnational jurisdictions continue to implement a range of market-based climate finance mechanisms and instruments, such as carbon tax, mandatory domestic emission trading schemes, project and sectoral emission crediting and other initiatives (Table 3). Overall, 67 jurisdictions—representing about half of the global economy and more than a quarter of global GHG emissions—are putting a price on carbon, using different approaches, according to the recent World Bank study (2017).
20. A market-based climate finance mechanism can be defined as policy instruments that use markets, price, and other economic variables to provide incentives for emitters to reduce their emissions of CO2 and other GHGs.

Table 3 Market-based climate finance mechanisms

Mechanism	Description	Example
Carbon tax	The most basic form of a market-based policy is a tax that sets a price on each unit of pollution. By introducing a tax on pollution, the entity producing the pollution incurs an additional cost	Since 1992 the Danish carbon tax covers all consumption of fossil fuels (natural gas, oil, and coal), with partial exemption and refund provisions for sectors covered by the EU

[4] http://verra.org/new-peatlands-rewetting-methodology-approved/

	based on the amount of pollution emitted. Because of this, the entity has an incentive to reduce the pollution produced by changing its processes or adopting new technology. In this way, the tax provides a continuous incentive for innovation; the more emissions can be reduced, the less tax a company would pay.	Emission Trading Scheme (EU ETS), energy intensive processes, exported goods, fuels in refineries and many transport related activities. Fuels used for electricity production are also not taxed by the carbon tax, but instead a tax on electricity production applies. As of 2014 – Danish carbon tax is set at 31 USD/tCO2e
Clean Development Mechanism (CDM)	The Clean Development Mechanism (CDM) is one of the Flexible Mechanisms defined in the Kyoto Protocol that provides for emissions reduction projects in non-Annex I countries which generate Certified Emission Reduction units (CERs) and may be traded in emissions trading schemes.	For example, participants in the EU emissions trading system (EU ETS) could use international credits from CDM towards fulfilling part of their obligations under the EU ETS during its phase 2 (2008-2012). This provision resulted in the creation of a burgeoning global market for CDM emission offsets. CDM's growth has been remarkable, from its first trade in 2005 to a liquid market for credits valued during its peak in 2009 at $2.7 billion. However, during phase 3 (2013-2020) of EU ETS, CERs have no longer been allowed as compliance units within the EU ETS. This has reduced substantially motivation and demand for CDM projects. Since the decision was taken at the Durban summit to initiate second commitment period of the Kyoto Protocol, there is now near certainty that the CDM will continue to exist and projects will continue to generate CERs, but it remains uncertain how this mechanism will co-exist and co-evolve into new market mechanisms envisaged by the Paris Agreement.
Sectoral crediting mechanisms	Through a sectoral crediting mechanism, policies and/or investments leading to emission mitigation in a given sector could earn emission credits. These credits could in turn be traded in a carbon market and used to offset GHG commitments. A sectoral crediting mechanism could be structured in different ways. For example, it may be designed to encourage GHG friendly investments in certain sectors, or to encourage GHG-friendly policies by governments.	There are only few examples of sector-based crediting projects around the world, rather there was a few attempts to prototype such approach with the scope of Nationally Appropriate Mitigation Actions (NAMAs). For example, new housing Nationally Appropriate Mitigation Action (NAMA) in Mexico: the overarching goal of this NAMA is to contribute significantly to the transformation of the Mexican housing sector from the baseline situation, where energy efficiency considerations were largely absent, to a sustainable housing sector where effective energy efficiency technologies have penetrated the market.
Emission trading scheme (ETS): cap and trade	This approach is "quantity-based." Instead of setting a price on each unit of pollution, the regulatory authority determines a total quantity of pollution (a "cap") that will be allowed. Companies buy and sell emission allowances (tradable certificates that allow a certain amount of emissions) based on their needs. The limited number of these allowances creates scarcity. The requirement that regulated businesses hold enough allowances to cover their emissions ensures the cap is met and creates demand for the allowances. If it is less costly for a company to reduce emissions than to buy allowances, the company will reduce its own emissions. Similarly, if a company can reduce emissions below its requirements, so it has excess allowances, those	The European Union Emissions Trading System (EU ETS) is the world's oldest and largest multi-sector GHG emission trading program. Designed to be consistent with the emission reductions targets included in the Kyoto Protocol, the EU ETS creates a market of tradable allowances for emissions among the European Union member states. Due to the lack of clarity on the operating parameters of the EU ETS post- 2020, the allowance price was around €5/tCO2e (US$6/tCO2e) for the majority of 2016–2017. However, recent regulatory changes in EU ETS has driven market price upwards so that European Emission Allowances have been traded at € 13-14/tCO2e as of May 2018[5].

	allowances can then be banked for future use or sold in an open market.	However, latest reform of EU ETS gives certain market optimism and there is expectation that prices may go up to €30/tCO2e already by 2020. There are 36 countries (including 28 EU member states) which currently have in place national ETS, including South Korea, New Zealand, Kazakhstan. In addition, there are 25 sub-national ETS, for example in the United States, there are State wide mandatory emissions trading schemes for 9 states on the east coast (Regional Greenhouse Gas Initiative) and for California.
Domestic Project-Based Carbon Crediting/Offsetting Mechanism	Domestic offset mechanism enables that a GHG emission reduction project, approved by the country in which it is located, generates emission reductions which subsequently translate into carbon credits. These credits could be used for compliance purposes under the emission trading scheme. In EU, for example as well as in other countries with operational ETS, such domestic "imports" of project-based offsets is allowed.	In France, the idea of domestic offsetting projects (DOPs) was first introduced in 2005. The initiative was officially launched in 2006, and a regulatory framework and methodologies developed. The first projects emerged from 2008 onwards. Starting with projects amounting to 1 Mt CO2e, the plan was to increase domestic offsetting to 5 Mt CO2e within five years. However, after 2012, many industrial projects were included in the EU ETS and were thus not eligible as DOPs anymore. All in all, 8.6 Mt CO2e had effectively been reduced throughout 19 projects and covering a wide range of different GHG. As non-EU ETS sectors account for more than half of emissions within the EU, DOP is an important complementary tool for reducing GHG emissions in these sectors.
Voluntary market-based climate-finance initiatives	Voluntary instruments differ from the mandatory schemes such as EU ETS in that there is no an obligation for the buyer to reduce or offset GHG emissions and the decision to do so is based on other considerations, such as corporate social responsibility, positive image, etc.	In 2016, the volume of credits traded on the voluntary markets totaled 63 MtCO2e with a value of US$191 million, representing a 24 % fall compared to the 84 MtCO2e of credits traded in 2015. The decline in traded volume is partially attributed to the conversion of certain types of voluntary credits into compliance credits in mandatory carbon pricing initiatives such as the California Cap-and-Trade program. Voluntary credit prices in 2016 were on average US$3/tCO2e. The modest average credit price is linked to the substantial oversupply that persists in the voluntary market. At least 56 MtCO2e of emission reductions remain unsold, consisting of voluntary credits and emission reductions that have been verified but not issued. In the voluntary market, REDD+ was the most transacted project type in 2016, with 9.7 MtCO2e traded or 15% of the total traded volume.
Baseline and credit program	Baseline and credit program establishes a defined emissions limit either in terms of absolute emissions or emissions per unit of output. Firms that emit below their baseline limit would be able to create credits and sell these to firms that emit	In 2007, Alberta, Canada implemented a baseline-and-credit approach as part of its climate program. The program requires large emitters to either: reduce their emission intensity—i.e., emissions per unit of

[5] http://markets.businessinsider.com/commodities/co2-emissionsrechte

	more than their baseline limit. For example, in the power sector, standards could be based on tons of carbon dioxide per megawatt hour of electricity produced with a specific type of technology. With a baseline and credit approach, companies would be able to meet a technology-based standard either by reducing their own emissions or by buying credits from other rms.	reduction—by 12 percent, buy emission performance credits from other facilities in Alberta, buy offsets from other firms in Alberta that have voluntarily reduced their emissions, or pay into a fund aimed at reducing GHG emissions in the province.

III. STRATEGY

21. The proposed project is aimed at assisting the Government of the Republic of Belarus to implement its GHG emission reduction commitments under the Paris Agreement to the UNFCCC in the context of national sustainable development goals. Specifically, project objective is to build Belarus' capacities to **design and implement market-based climate finance mechanisms**, to **improve and continuously update NDCs**, as well as to set-up a robust **Measurement, Reporting and Verification (MRV)** system for GHG emissions in the priority sectors.
22. The theory of change (TOC), see Figure 3 below, underlying this project is based on the premises that for Belarus to establish and achieve ambitious climate change mitigation goals that it has committed to under the Paris Accord in the most cost-effective manner and without compromising on its national development goals and economic growth potential, it has to more actively engage in, understand, design, and apply market-based climate finance mechanisms and approaches, as envisaged under the Paris Agreement. To achieve this objective four main barriers will have to be addressed as presented in Table 4.

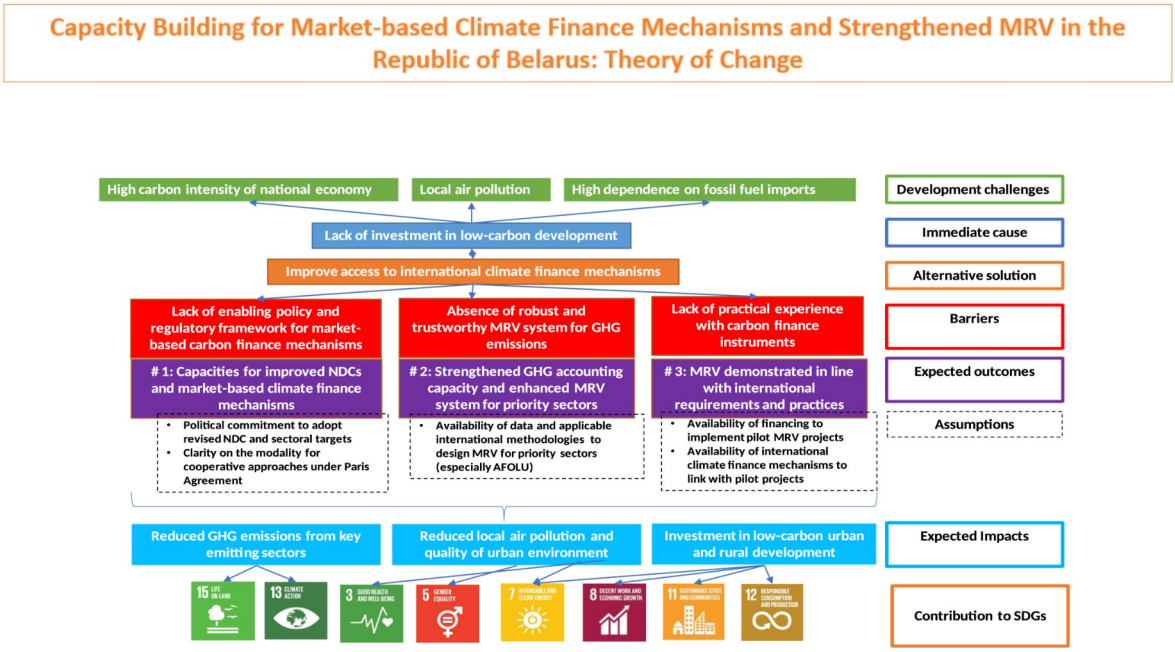
Table 4 Barriers to Climate Change Mitigation in the Republic of Belarus and actions to tackle them

Barrier	Means of overcoming Barrier (refer to Outcome and Activity #)
Insufficient analytical basis, knowledge and capacities to establish, assess and justify realistic yet ambitious national and sectoral NDC targets and identify appropriate market-based climate finance mechanism to support their implementation	Component 1 will address this barrier by strengthening national capacities and analytical basis to improve and expand sectoral coverage of NDCs (Outcome 1.1), as well as by helping to identify and prepare roadmap for introduction of market-based climate finance mechanisms in support of NDC implementation (Outcome 1.2)
Lack of robust and internationally-recognized and compliant system to measure, report and verify (MRV) GHG emission at national and sectoral level, in particular in the AFOLU sector which is one of the key sectors in Belarus for both climate change mitigation and adaptation	Component 2 and 3 will address this barrier by developing roadmap and recommendations on introduction of sectoral MRV systems, including key design elements, such as sectoral coverage, emission quantification methodology, reporting procedures and platform, quality assurance and enforcement (Outcome 2.1) and by road-testing and demonstrating their practical applications in the context of pilot MRV projects (Outcome 3.1).
Lack of practical experience with implementation of market-based climate finance mechanism and their MRVs	Component 3 will address this barrier by facilitating implementation of pilot climate change mitigation projects, monitoring and verification of their results in line with established international practices for format-based climate finance mechanisms and MRVs (Outcome 3.1)
Difficulties in attracting external, including private sector, finance to climate change mitigation projects leading to insufficient investment in low-carbon development	The aim of the project is to enable Belarus to implement market-based mechanisms and approaches thus attract additional resources for low-carbon development by, first, identifying appropriate mechanisms in line with national and sectoral priorities and mitigation potential

	(Component 1), establishing (Component 2) and testing (Component 3) of the internationally-recognized MRV system to measure and quantify GHG emission reductions so that they are transferrable to and acceptable by third parties and therefore can be traded on the market basis.

23. The project consists of three inter-linked components aimed at comprehensively addressing these barriers as follows. The first component addresses capacity and knowledge constraints related to preparation and update of national and sectoral NDC targets, as well as limited awareness about market-based climate finance mechanisms. Under the second component the project will work to set-up and strengthen MRV system, specifically for the priority sectors identified in NDC. The third component in partnerships with a number of local and international organizations and initiatives will support the development and implementation of MRV pilots in selected sectors to facilitate interactions and learning-by-doing for all stakeholders involved in the MRV system (see also Figure 3 for a graphical presentation of the Theory of Change).

Figure 3 Theory of Change



24. The project will aim to achieve the following impacts and directly contribute to a number of SDGs, as detailed below and illustrated in Figure 3:

a. Contribute to improvement of energy security
b. Reduce GHG emissions.
c. Serve as a leading example of market-based approaches to climate change in the CIS countries.
d. Support development of new skills related to climate finance and MRVs.
e. Demonstrate opportunities for mobilizing international climate finance and low-carbon investment

IV. RESULTS AND PARTNERSHIPS

Expected Results

Component 1: Capacity building for improved NDCs and market-based climate finance mechanisms to support NDCs implementation

25. Component 1 is aimed at strengthening the institutional capacity of the Republic of Belarus to prepare and regularly update its NDCs, to identify and introduce appropriate market-based carbon finance mechanisms to enable achievement of NDCs in the most cost-effective manner, as well as to enable Belarus' participation in the cooperative approaches under the Article 6 of the Paris Agreement. To do so, first all of, national capacities and analytical basis for strengthened and expanded NDCs will be created, including additional sectoral coverage for LULUCF. Economic and GHG emission model will be developed to support establishment of sectoral and national targets consistent with national economic and social development goals and plans. The Component 1 will also identify and assess the viability of appropriate market-based climate finance mechanisms involving carbon pricing to facilitate achievement of NDC targets, such as the emission trading scheme for "Energy" and "Municipals" and "Construction" and project- and/or sector-based crediting mechanisms for AFOLU and other sectors not covered by emission trading, such as municipal/urban sector. Establishment of the domestic climate finance mechanisms will be undertaken in such a way as to ensure their compatibility with relevant international standards and requirements for application of collaborative approaches envisaged under the Article 6 of the Paris in order to maximize the cost-effectiveness of climate change mitigation actions. Component 1 will lead to the following outcomes:

- Outcome 1.1: Improved NDCs
- Outcome 1.2: Road Map for introduction of market-based climate finance mechanisms (project and/or sectoral)

<u>Outcome 1.1 Improved NDCs</u>

Activity 1.1.1 Prepare detailed economic and GHG emission model to explore climate change mitigation pathways and their associated costs and impacts for Belarus and its key GHG emitting sectors, and report summarizing the finding of this analysis, including:

- various scenarios for emissions reduction targets, renewables and efficiency policies
- costs and benefits for Belarus' economy and different economic sectors, including competitiveness, growth and jobs
- environmental and social impacts, including gender
- impacts on energy security

Under this activity review of applicable models will be conducted and appropriate one designed to incorporate both GHG emission data/prognosis, as well as economic and social data, based on models currently in use in Belarus and applicable international ones (e.g. UNFCCC, EU, etc).

Output 1.1.1: Economic and GHG emission model and report with results of analysis "Climate Change Mitigation Scenarios, Costs, Benefits and Impacts for the Republic of Belarus" as an analytical basis for establishment of national and sectoral NDC targets

Activity 1.1.2: Define sectors to be covered by GHG mitigation targets, timeline, establish sectoral baseline and targets, as well as national baseline and target (based on analysis and results of modelling exercise under Activity 1.1.1).

Output 1.1.2: Sectoral baseline and targets for priority sectors established and officially proposed, along with national baseline and targets.

Activity 1.1.3 Provide training on model application and use for relevant national stakeholders to ensure model's continuous update and improvement to inform future work on NDCs beyond 2030

Output 1.1.3: Training package on model application is introduced into the MNREP professional training curricular

Activity 1.1.4 Present and discuss the finding of scenario analysis and proposed national and sectoral NDC targets to relevant stakeholders and line Ministries (Ministry of Forestry, Ministry of Energy, Ministry of Housing and Utilities, Ministry of Construction and Architecture, Ministry of Agriculture and Food etc).

Output 1.1.4: Consultation conducted and updated NDC targets presented and discussed

Activity 1.1.5 Based on results of analysis and stakeholder consultation, develop and submit to relevant authorities and to UNFCCC updated NDC, including definition of sectoral and revised/updated national GHG emission reduction targets.

Output 1.1.5: Revised NDC submitted to UNFCCC, including selected sectoral and national targets

Activity 1.1.6 Support line Ministries in incorporating proposed sectoral NDC targets and mitigation measures in the scope of state sectoral programs, including appropriate allocation from the state budget.

Output 1.1.6: Sectoral targets and measures are incorporated in the relevant state programs

Outcome 1.2 Road Map for introduction of market-based climate finance mechanisms (project or sectoral)

Activity 1.2.1 Provide regular update to key sectoral stakeholders in Belarus (e.g. Ministry of Forestry, Ministry of Energy, Ministry of Housing and Utilities, Ministry of Construction and Architecture, Ministry of Agriculture and Food, etc) on the status of international negotiations and agreements regarding rules, modalities and procedures for implementation of the cooperative approaches under the Article 6 of the Paris Agreement and their implications for Belarus.

Output 1.2.1: Regular (annual) updates on the status of international negotiations under Article 6 and implications for Belarus prepared and communicated to relevant national and local authorities, decision-makers and private sector stakeholders.

Activity 1.2.2 Prepare recommendations and roadmap to ensure Belarus's preparedness to create/issue/transfer/acquire/use the Internationally Transferrable Mitigation Obligations (ITMOs) under Article 6, inter alia[6]:

- nominating designated national authority/ focal point
- developing procedures to authorize the transfer of ITMOs under the cooperative approach towards third parties' NDC and the use of ITMOs from the third parties towards own NDC
- compliance with requirements on reporting agreed under the transparency framework
- development and submission of an indicative emissions trajectory consistent with Belarus long-term goals under its low emissions development strategy
- other relevant requirements established by the COP, such as national ITMO registry, etc
- establishing a system for setting a baseline in respect of the activity from which the mitigation outcome can be issued/created
- establishing a system for verifying that mitigation outcomes (that may be transferred) have been achieved

Output 1.2.2: Draft Roadmap of activities to ensure Belarus' compliance with requirements for participation in the market-based cooperative approaches under Article 6 of the Paris Agreement

Activity 1.2.3 Conduct assessment of appropriate market-based mechanisms (See table 1) compatible with established sectoral targets, relevant guidance under the Article 6 of the Paris Agreement and international best practices and approaches and prepare recommendations on the most feasible options to be pursued by Belarus for each sector.

Output 1.2.3: Appropriate domestic mechanisms identified in line with established sectoral NDC targets

Activity 1.2.4: Prepare draft Roadmap for introduction of the identified mechanisms and their linking with cooperative approaches under Article 6 of the Paris Agreement, including draft legal and regulatory measures and policies, capacity building needs, data and knowledge gaps (also in conjunction with `Component 2). When implementing this activity, the project will build on and if necessary amend regulatory framework adopted for implementation of the Kyoto Protocol mechanism, including the emission trading scheme and project-based mechanisms.

Output 1.2.4: Draft national legal and regulatory documents enabling implementation of market-based GHG abatement mechanisms, emission trading and project-based, compatible with Article 6 of the Paris Agreement developed.

Activity 1.2.5 National Stakeholder Consultation Process to discuss the draft legal and regulatory documents and roadmap for their implementation

Output 1.2.5 Reports from national stakeholder consultations

---

[6] Guidance on cooperative approaches referred to in Article 6, paragraph 2, of the Paris Agreement. Informal Note. Available at http://unfccc.int/files/meetings/bonn_nov_2017/in-session/application/pdf/sbsta47_11a_third_informal_note_.pdf

Activity 1.2.6 Prepare finalized Roadmaps and package of legal and regulatory documents, based upon the Stakeholder consultation process that has been carried out

Output 1.2.6 Finalized Roadmap and package of legal and regulatory documents enabling implementation of market-based GHG abatement mechanisms compatible with Article 6 of the Paris Agreement

Component 2: Strengthened GHG accounting capacity and enhanced system of MRV

Component 2 of the project will build on the results of baseline activities to establish and strengthen fit-for-purpose MRV system for key GHG emission sectors in Belarus. When doing so the project will follow a two-pronged approach. First, for the "Energy" and "Industrial Processes" sector, the project will follow recommendations of and will continue working closely with EU4Climate project to introduce facility-level MRV for largest GHG emitters, which should be fully compatible with relevant international best practice and enable Belarus' participation in the international climate finance mechanisms to be established under Article 6 of the Paris Agreement (Output 2.1.1). Second, for the sectors, not covered by installation-level MRV system, such as AFOLU and municipal/urban sectors, an alternative project-based approach will be considered and practical guidelines provided to implement MRV systems (Outputs 2.1.2 and 2.1.3). The project will also establish required legal and regulatory framework for both facility and project -based MRVs (output 2.1.4).
In addition, the National Platform for Statistical Reporting of the Sustainable Development Goals (SDG) Indicators is currently being developed in the Republic of Belarus. During the project implementation stage it will be necessary to adjust the system of the MOU and the statistical reporting system according to the indicators of the SDG to an agreed form.
Component 2 will lead to the following outcome:

Outcome 2.1 Enhanced and strengthened System of MRV in the Republic of Belarus

Activity 2.1.1: For the sectors where facility-based MRV system should be applied develop roadmap and recommendations on introduction of such systems, including its key design elements, such as sectoral coverage, emission quantification methodology, reporting procedures and platform, quality assurance and enforcement, as illustrated in Figure 4 . Proposed design of facility-based MRV should be compatible with relevant MRV guidelines under the Article 6 of the Paris Agreement.

Figure 4 Key elements of the facility-based MRV system



Source: World Bank 2015

Output 2.1.1: Roadmap and recommendations on the design of facility-based MRV

Activity 2.1.2: Develop national methodology and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions/absorption from abatement measures in AFOLU sector compatible with relevant international best practices and standards. This activity shall be informed by the analysis of the international approaches to MRV for AFOLU sector (e.g. – UN REDD, World Bank BioCarbon Fund, New Zealand Emissions Trading Scheme etc) and exchange of knowledge and experience with relevant international partners. Also, it will be implemented in parallel with practical design and implementation of MRV pilot under Component 3 when methodology and guidelines will be practically applied and tested so that the final version of methodology and guidelines incorporates lessons learnt from its practical application.

Output 2.1.2: National methodology and guidelines for establishing sectoral GHG emission baseline and monitoring GHG emission reductions/increase in CO2 absorption from GHG abatement measures *in AFOLU sector developed in line with*

international MRV requirements and standards and informed by international best practices and MRV pilots under Component 3

Activity 2.1.3: Develop national methodology and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions from GHG abatement measures in municipal sector compatible with relevant international best practices and standards, such as those adopted by the Covenant of Mayors and GEF-supported Sustainable Cities Integrated Approaches Pilot[7]. This activity will be implemented in parallel with practical design and implementation of MRP pilot under Component 3 when methodology and guidelines will be practically applied and tested so that the final version of methodology and guidelines incorporates lessons learnt from its practical application.

Output 2.1.3: National methodology and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions from GHG abatement measures *in municipal sector (including energy consumption, waste management and transport) developed in line with international MRV requirements and standards and informed by international best practices and MRV pilots under Component 3*

Activity 2.1.4 Make assessment of the most appropriate country for Belarussian Government officials and decision makers to visit for a study tour related to emissions trading and MRV.

Output 2.1.4: Study Tour to country with robust MRV and ETS in place

Activity 2.1.5: Drafts of the national legal acts and (or) technical regulatory legal acts which would enable and mandate mandatory implementation of facility-based and project-based MRVs in Belarus.
This activity will start with analysis of certain EU Member States' legislation (Germany, Poland and England) regarding implementation of Directive 87, namely, the provisions relating to the MRV (inter alia, analysis of the legal structure of the MRV systems, the structure of legal acts on the MRV, the list of greenhouse gases and activities subject to the MRV) and lessons learnt by other countries with similar context and experience with setting up legal and regulatory frameworks for MRVs (e.g. Kazakhstan, Ukraine and New Zealand – see Text Box 2). Such provisions, inter alia, will include :

- Design of facility-based MRV;
- Guidelines for offset project MRVs in AFOLU, energy sector, municipal sector (residential and office buildings, lighting, heat supply).
- Requirements to systematically apply and integrate MRV guidelines in the scope of State Sectoral Programs, which are currently the main source of domestic investment and funding for climate change mitigation measures in order to establish clear GHG emission baseline for subsequent application of market-based mechanism.
- Procedure for accreditation of independent expert organizations that carry out verification of GHG emission monitoring reports;
- Procedure for state control and enforcement of mandatory MRV requirements in the sectors covered by NDC.

Output 2.1.5: Draft National Law on MRV and associated policy and regulatory documents prepared.

Component 3: Demonstration Projects using MRV best practice

Component 3 will support the development and implementation of project-based MRV pilots in selected sectors to facilitate interactions and learning-by-doing for all stakeholders involved in the MRV system, as well as to inform the development of official guidelines and methodologies for project-based MRV systems under Component 2. Based on consultation conducted at PPG stage, as well as recommendations from the previous MRV-related projects, the sectors prioritized for MRV demonstration are AFOLU (peatland and forest management) and the municipal/urban sectors. These two sectors have the least developed MRV systems, face additional challenges with regard to data collection, lack uniform approaches and application of international best practices for MRV, but on the other side have high cost-effective potential for GHG emission reduction/absorption. The project will work in close partnership with SSPs under relevant line Ministries (Ministry of Forestry, Ministry of Energy and Ministry of Housing and Utilities), as well as on-going sectoral projects and initiatives (see "Partnership" section below) to select, design and implement project-based MRV systems, as well as to provide expert assistance, capacity building, and training throughout the complete MRV cycle.

Initially, the PIF envisaged implementation of the 4 stand-alone MRV pilots, as follows: Small Scale Renewable Energy Project, pilot Energy Efficiency Project pilot Sustainable Transport project and a pilot Sustainable Forestry Project. Based on conducted consultation and analysis of existing partnership and co-financing opportunities, the following amended classification and selection criteria for the development of MRV pilots has been adopted (as further elaborated in the Table 5):

[7] https://www.thegef.org/topics/sustainable-cities

- MRV pilot for peatland management project
- MRV pilot for forest management project (a stand-alone or a combined with peatland restoration project)
- MRV pilot in building sector (public and multi-apartment residential)
- MRV pilot in lighting sector;

In the event that co-financing fails to materialize, the project reserves the right to change the demonstration projects. For each demonstration project, it is envisaged that the GEF will pay for the cost of the development and implementation of the MRV system, while the co-financing from SSPs will cover in full the investment cost of the project. The feasibility cost of the project may be covered by the GEF, where required to improve the quality and mitigation outcomes of planned investment.

Table 5 Proposed MRV pilots under Component 3

Project	Description of climate change mitigation measures and envisaged impacts	Description of MRV	Potential Partnership and sources of co-financing
Urban/municipal sector			
Energy efficiency (EE) and renewable energy measures in buildings and heat supply systems	The underlying project will involve implementation of energy efficiency measures in public and residential buildings, including such measures as building wall insulation, installation of efficient windows and lighting system, as well as measures to improve efficiency and promote alternative low-emission fuels in heat supply, such as boiler modernization/replacement and/or fuel switch measures.	Proposed MRV system will be based on the Energy Management Information System (EMIS), designed by UNDP-GEF project in Croatia which has been since then successfully replicated in a number of Eastern European countries, including Croatia, Bosnia and Herzegovina, Serbia, and Russia. EMIS system is a source of facility-level baseline data, as well as a practical monitoring tool to track and monitor the impact of climate change mitigation measures in terms of energy/cost saving and GHG emission reduction. See Text Box I for further details about EMIS. In residential sector, apart-level and consumption-based metering are important prerequisite for MRV in the sector. Introduction and piloting of such system (wherever technically feasible) along with a system of remote reading and regulation of heat supply shall form the backbone of transparent and robust MRV for residential sector.	Municipalities signatories of the EU Covenant of Mayors initiative with developed Sustainable Energy Action Plans (SEAPs), Municipalities (Polotzk, Novogrudok) – pilot sites under UNDP-GEF project Belarus: Supporting Green Urban Development in Small and Medium-Sized Cities in Belarus ("Green Cities" Project), as well as buildings covered under the State Program "Comfortable Housing and Favorable Living Environment for the period 2016 - 2020", State Programme "Buildings Construction for the period 2016 – 2010". Building selection and partnership agreements will be concluded at the Inception phase of the project because municipal and state budgets and scope of investment in EE measures in buildings are defined on annual basis. Sectoral Program for Energy Sector Development in 2016-2020 envisages to allocate over 50 mln USD in measures with anticipated GHG emission reduction impact, such as installation of energy efficient boilers (including electric boilers), development and modernization of heat supply systems. The Government of Belarus is

			working with the World Bank to launch large-scale building modernization program for residential sector. Additional and substantial climate benefits of such program are not currently being accounted for due to lack of appropriate MRV. Establishing such MRV on a pilot basis can help the Government to access additional resources for the program through appropriate market-based climate finance mechanism.
Energy efficient public lighting	Street lighting efficiency improvement is very important for municipalities because public lighting accounts for significant part of municipal budgets. In this respect, it is important to note that from a safety perspective, light from LED fixtures can be aimed and controlled to eliminate the dark spots and shadows that are common with more traditional metal halide or high-pressure sodium street lights. Also, modern solar LED street light may incorporate a small but high definition cameras which are important tools for increasing safety on less frequented roads, car parking's and parks, thus contributing to people's safety, and particular women security. The pilot project would involve upgrade and modernization of the municipal street/public lighting systems with more energy efficient technologies, including utilization of smart systems and/or renewable energy-based applications.	Proposed MRV system for lighting project can be a stand-alone one in partnership with municipal lighting company or design as an extension to existing EMIS software (described in Text Box 1) by incorporating additional "lighting" module in the system. The benefits of the latter approach are that it would enable the city to have the full picture of its energy consumption, expenditures and associated GHG emissions in one system. This would facilitate the reporting, as well as prioritization of investment among multiple municipal sectors.	Municipalities signatories of the EU Covenant of Mayors initiative with developed SEAPs, Municipalities (Polotzk, Novogrudok) – pilot sites under UNDP-GEF "Green Cities" Project. Within the framework of the State program "Buildings Construction for 2016-2020" it is planned to gradually increase the volume of construction of residential houses with specific heat consumption for heating and ventilation that corresponds to houses of energy efficiency classes A + and A on the basis of new technical, design and organizational solutions, introduction of energy-saving technologies. By 2020 the share of residential buildings with high energy efficiency classes is planned to reach 20 percent of all energy-efficient housing.
AFOLU			
Peatland restoration	Ecological rehabilitation of depleted peat deposits and drained lands, including inefficiently drained forests, is aimed at creating conditions for the restoration of wetlands and peat formation in the future. The main rehabilitation method in this respect is to enable re-wetting, thus creating and regulating the necessary hydrological regime, under which the formation of communities of hydrophilic and helophytic grassy vegetation and mosses would take place. For ecological rehabilitation of peatlands, different approaches can be applied:	MRV for the pilot peatland restoration project will be developed in line with recent VCS standard VM0036 Methodology for Rewetting Drained Temperate Peatland. It utilizes a unique model known as a GEST, or Greenhouse gas Emission Site Type, approach, which uses direct measurement of ground vegetation composition and water table depth as proxies for peatland GHG emissions. The methodology is intended for project activities that aim at the rewetting of peatlands that have been drained for forestry, peat extraction or agriculture,	Sectoral peat industry development program under the Ministry of Energy. UNDP-GEF Project "Conservation-oriented management of forests and wetlands to achieve multiple benefit" can provide technical expertise required for adequate preparation of the project's feasibility study and assuring quality of its implementation.

	- If the surface of the site to be rewetted is relatively flat, it is necessary to maintain the water level throughout the restored area near the earth surface which would facilitate formation of typical marsh vegetation in such areas; - if the depth of peat production was significantly different, and after peat extraction, the peat deposit territory has a mosaic relief with alternating significant (more than 1 m) depressions and elevations, then the planned water level should ensure flooding of low and humid areas of the residual peat deposit. In such cases, after rising water levels, a mosaic territory with alternating shallow water bodies and elevations is formed. In the future, as a result of overgrowing shallow water bodies, a single bog massif with an even surface will be formed. The process of forming a swamp in such areas will last for decades; - if the peat deposit is not fundamentally disturbed, and as a result of reclamation, only the hydrological regime has changed (mires inefficiently drained by forest reclamation, or swamps prepared for peat extraction), then in such cases it is necessary to restore the initial hydrological regime.	but where these activities are no longer occurring. Post-rewetting land use is limited to forestry, agriculture, nature conservation/recreation, or activities limited to those aiming at GHG emission reductions, or a combination of these activities.	
Sustainable Forest Management (SFM)	Climate mitigation activities in the forestry sector may include: - managing and protecting forests with high carbon uptake potential, - expanding such forests through reforestation and afforestation, - increasing the use of forest-based products such as bio-energy and durable wood products, and substituting these for less eco-efficient materials.	One of the great challenges and barrier to market-based measures for forest carbon is the difficulties associated with measurement in this sector. Emissions are potentially diffuse and precise measurement of carbon in different forest stands is potentially costly. One of the proposed options is to learn from and use experience of New Zealand is trying to solve these problems. To keep track of changes in forested land in selected locations, a specialize mapping tool will be applied, consisting of satellite and high definition aerial photographic data complemented by the data from the national forestry inventory. The online mapping tool requires to digitally map out the boundaries and characteristics (forest species,	State Program “Belarusian Forest” in frame of which baseline financing for implementation of pilot SFM project will be provided.

		age, etc) of their different forest types. This reporting and the underlying imagery is then tracked to verify that no anomalies occur between what is reported in the forest emissions returns and what is actually visible in the underlying satellite and photographic imagery.	

Text Box 1: Description of the Energy Management Information System (EMIS)

Energy Management Information System (EMIS) is web-based application for tracking, analysing and evaluating energy consumption and GHG emissions in municipal sector designed and implemented under UNDP-GEF energy efficiency project in Croatia in 2010 and rolled out across the entire country. Application as such represents necessary tool for energy management and GHG emission accounting at the municipal level. For facilities owned by the public sector (administrative buildings, hospitals, schools, lighting, etc.), the application enables input relevant information about facilities that are under public jurisdiction.

The EMIS users first enter static information about the facility, which include its physical characteristics and energy properties. Then monthly consumption data is entered based on the utility bills that are delivered. Also, there is an option to add additional (more frequent) consumption data for each facility. This data is either entered manually, by reading it from the meters/energy bills, or automatically by installing automatic remote metering systems, which can provide hourly consumption data directly to EMIS.

Data entered into system is used for calculating, analysing and control and enables a better understanding of where, when and how we consume energy in municipal sector. It also allows comparison of spending between the selected units, as well as the identification of unwanted and excessive spending, thus potential for energy saving and GHG emission reduction.

EMIS greatly eases the process of systematic energy management in public sector, in a way which allows easier access to information on energy and GHG emission. It provides a simple graphical representation or a tabular presentation of the data collected as a result of predefined analysis. Continuous monitoring of expenditure through EMIS provides a transparent view and control of energy consumption, energy savings, emission and emission reduction.

More information about EMIS software and its user guidelines (in Russian) are available at http://www.undp-eeb.ru/files/posobie_energomenedzhera_1.0.pdf

Outcome 3.1: Small scale MRV projects identified, designed, financed and implemented

Activity 3.1.1: Design and elaboration of pilot MRV projects including preparation of feasibility studies for
energy efficiency (EE) and renewable energy in buildings and heat supply systems;
energy-efficient lighting of public places;
restoration of wetlands;
sustainable forest management.

Project team in consultation with relevant line Ministries and partners will identify based on preliminary lists and selection criteria presented in Table 4 four pilot baseline project. As per PIF, GEF resources will only be used for the cost of the feasibility studies (where required) and for the design and implementation of pilot MRVs, therefore partnership with on-going state sectoral programs and international projects will be established to ensure baseline financing for the proposed climate change mitigation measures. Design of pilot projects, in particular for AFOLU sector, shall also include climate risks assessment of the targeted eco-systems and provide for appropriate adaptation and risk mitigation measures to maximize envisaged climate mitigation benefits.

Output 3.1.1: Sites for implementation of the Pilot MRV project identified and partnership with co- financiers established via appropriate MoUs and/or other legal agreements.

Activity 3.1.2: Development of methodologies to estimate baseline and project emission reduction and prepare MRV plan for identified pilot projects in line with domestic context and applicable international methodologies, standards and

guidelines, including those under Article 6 of the Paris Agreement (to ensure "transferability" of the resulting emission reduction under CAs). Apart from climate benefits, MRV system should also cover key socio-economic impact indicators, including gender.

Output 3.1.2: Pilot MRV systems developed, baseline and project GHG emission reduction estimated and validated in line with applicable international standards and procedures (e.g. voluntary standards and/or applicable provisions of the Article 6 if/when the latter is in place).

Activity 3.1.3: Implementation of pilot projects and monitoring resulting GHG emissions reduction/absorption in line with established MRV methodology and plan

Output 3.1.3: Monitoring reports for pilot projects are regularly (annually) produced

Activity 3.1.4: Independent verification and confirmation of GHG emission results of the pilot projects in line with applicable international standards and procedures (e.g. voluntary standards and/or applicable provisions of the Article 6 if/when the latter is in place).

Output 3.1.4: Verification reports and certificates of GHG emission reduction/CO2 sequestration

Activity 3.1.5: Preparation of certificates relevant to the international requirements for their placing on carbon markets (stock exchanges).

Output 3.1.5: Certificates have been prepared and placed on the relevant carbon markets (stock exchanges)

Activity 3.1.6: Summarizing findings of the pilot projects in the lessons learnt report and presenting finding to relevant stakeholders.

Output 3.1.6: Lessons learnt report prepared and presented to relevant stakeholders and partners

Activity 3.1.7: Undertaking independent terminal evaluation of the project

Output 3.1.7: Terminal evaluation conducted

Partnerships

26. The project will work in close collaboration and form partnerships with key sectoral/line ministries in charge of SSPs. In addition, the project will cooperate closely with following on-going and planned initiatives with shared objectives to promote low-carbon development in Belarus, namely:
27. *EU-funded UNDP-implemented regional EU4Climate project (2019 – 2022, 1,6 mln USD for Belarus)* aims at supporting the development and implementation of climate-related policies by the EU Eastern Partnership countries, including Belarus, in order to strengthen the capacity for domestic implementation of the Paris Agreement, enhance transparency of emissions and climate action, mainstream climate in other policy sectors, such as energy, transport, agriculture, and achieve the objectives of climate-related provisions of bilateral agreements with the EU through advancing their implementation. UNDP as the Implementing partner for both EU and GEF project will ensure closely alignment and collaboration between the two, in particular as far as work on strengthening NDCs and MRV system is concerned.
28. *UNDP-GEF "Belarus: Supporting Green Urban Development in Small and Medium-Sized Cities in Belarus" project (2015-2020, 3,09 mln USD)* aims to introduce the concept of green urban development and support for planning and developing green cities and their infrastructure. The project has a component that focuses on promotion of sustainable transport system in two cities (Novopolotsk and Polotsk) where GHG emissions from the transport sector have been increasing in the recent years. For this component of the project, both of the cities expressed that their priority should be given to tramways and to an increased use of cycling as an alternative to automobiles in order to reduce GHG emissions. The cities also stress the importance of integrating these measures into their entire green urban development planning. It should be noted that the whole project of Belarus Green Cities has also policy support components to help the country *develop a National Green Urban Development Plan for the country, which covers a range of issues associated with development of low-carbon and climate-resilient cities within the country*.
29. *GEF-funded "Forestry Development Project"* (2015-2020, 2,7 mln USD) by the World Bank aims to contribute to the country's mitigation efforts in various ways. The measures to be taken include: improvement of silviculture and the sustainability of forest management; improvement of forest fire prevention, monitoring, detection, and suppression of forest fires; capacity building for sustainable forest management. In particular, measures on forest fires can reduce the loss by about 30% of average annual losses from forest fires, which occurred during the last twelve years, and increased carbon sequestration (i.e. removals)

30. *"Conservation-oriented management of forests and wetlands to achieve multiple benefit"* supported by the GEF and implemented by UNDP (2017 -2021, 4,2 mln USD). The project includes activities on improving agricultural peatland management. These measures include: agricultural practices to minimise soil degradation and GHG emissions from peatlands: modified crop rotation; withdrawal of arable lands and replacement by pastures and hay-fields; and re-wetting of some of the drained peatlands. The project also implements priority actions listed under Belarus' National Communications to UNFCCC, which underscores the need to accurately calculate emissions from land-based sources and design projects to curb emissions and increase carbon sequestration. In this respect the project will further improve the MRV system for peatlands trading which was developed under the ICI project, by adding the methodologies for MRV at previously un-accounted biotopes (such as open agricultural degrading peatlands and Black Alder peatland forest communities).
31. UNDP-GEF project "*Preparation of the Seventh National Communication for the Implementation of the United Nations Framework Convention on Climate Change and the Third Biennial Report of the Republic of Belarus"* (2018-2019, 852,000 USD) is expected to be launched in the beginning of 2019. This project will provide essential background data on the latest GHG emissions and trends in the Republic of Belarus, as well as help identify gaps as far as MRV system is concerned. It will also update of the national circumstances chapter to consider **gender dimension** in order to better understand how the different roles of men and women in social and economic circumstances may affect Belarus's ability to deal with mitigating and adapting to climate change. The project will perform a study, analyzing the role of gender in mitigation activities, policy formulation and knowledge. The expected findings will build recommendations for integrating gender dimension in the scope of pilot MRVs under this project.

Risks and Assumptions:

Table 6 Project risks and risk mitigation measures

Description	Type	Impact & Probability	Mitigation Measures	Owner	Status
The risk that a consensus regarding the scope and level of ambitions of sectoral NDCs is not reached and updated NDCs are not adopted by 2020	*Political*	Probability – 3 Impact - 5	The project will work will key Governmental entities, the Ministries of Natural Resources and Environment, Ministry of Energy, Ministry of Forestry and others to come up with well-justified and informed proposal for updated NDCs and its sectoral coverage, including preparation of required economical and environmental justification for the proposed scope and level of ambitions of NDC targets. The Ministry of Natural Resources and Environment, as the key Governmental entity, in charge of climate policy design and coordination, will take the leading role in this process with project team providing all required technical and intellectual inputs.	Ministry of Natural Resources and Environment	Medium
Lack of practical experience with climate finance mechanisms and lack of clarity regarding international framework for Article 6 of the Paris Agreement may jeopardize the process of introduction of appropriate climate finance mechanisms in Belarus.	*Regulatory*	Probability – 3 Impact - 3	The project should hire a highly experienced international CTA [with at least 60 days/year and 4 missions per year] to help mitigate this risk, with extensive carbon market experience. Design of the project strategy and its implementation structure have been informed by the need to take due account of the development at the international level, as well as national specifics and lack of prior experience with climate finance in Belarus. The project will work in close collaboration with EU4Climate project which should facilitate access to relevant regional and	UNDP CO	Medium

Description	Type	Impact & Probability	Mitigation Measures	Owner	Status
			international knowledge and practices, while the project itself will seek to internalize this experience and make it compatible with national circumstances, as well as legal and regulatory context.		
Financial risk is related to the fact that project co-financing partners may lack resources to finance pilot MRV projects under Component 3	*Financial*	Probability – 2 Impact - 5	Project's main sources of co-financing under Component 3 will be secured from the officially approved State Sectoral Programs (listed under para 9), as confirmed in the provided letters of co-financing. The Ministry of Environment and Natural Resources as the National Implementing Partner, will facilitate and coordinate this process and monitor timely provision of required inputs for pilot projects. The project will implement adaptive management in the event that co-financing fails to materialize.	UNDP CO	Medium
Environmental/ climate change risk that global increase in temperature will reduce demand for energy (especially in winter) and therefore reduce the envisaged GHG emission reduction impact of the project. However, anticipated climate impacts on forests and peatlands, another important sources of emissions/sinks in Belarus jeopardize the achievement of GHG emission results.	*Environmental*	Probability – 2 Impact - 2	This is a longer-term risk, which is not expected to manifest itself during the lifetime of the Project. Temperature increases in the near future according to the most recent IPCC estimates even under the business as usual scenario are not expected to be so high that they would completely remove the need for heating of the building stock in Belarus during the winter time. In fact, the increased variability of temperatures may make the metering and automatic control of energy use even more important from both the cost and energy saving point of view. Warmer summer months may also increase the demand for cooling. The design of pilot project, once location and scope, are defined will incorporate climate risks assessment for selected eco-systems and provide for appropriate adaptation and risk mitigation measures to maximize envisaged climate benefits.	UNDP CO	Low

Stakeholder engagement plan:

Table 7 Stakeholder engagement plan

Stakeholder	Mandate	Role in the Project
Ministry of Natural	Responsible for development and	National Implementing Partner of the

Resources and Environment	implementation of national policy in climate change, both in mitigation and adaptation. It is authorised to develop and implement national climate change programmes and national MRV system for GHG emissions and co-ordinate its implementation with other governmental agencies.	project: lead and coordinate on all project components, including ensuring relevant inputs and co-financing from project partners.
Ministry of Economy	In charge of development and implementation of national sustainable development strategy and national SDG framework, which, inter alia, include climate change targets and indicators. It is also the key agency in charge of investment promotion and coordination of international financial and development assistance.	Key partner for Component 1: update and strengthening of NDC, including expanded sectoral coverage.
Ministry of Energy	Responsible for developing and implementing national energy development programmes. Operates national power generation company Belenergo, as well as BelTopEnergo, state company in charge of peatland development and restoration.	Key partner in implementing Component 2 of the project with respect to MRV set-up for "Energy" sector, as well as one of the key partners for Component 3 on pilot EE and peatland restoration project.
Ministry of Forestry	Responsible for developing and implementing national forestry sector programmes and preparing forestry inventory.	One of the key partners for Component 3 on pilot sustainable forest management project.
Ministry of Construction and Architecture	Responsible for the development and implementation of the national programs to create conditions for citizens to meet their need for affordable and comfortable dwellings.	Key partner for implementation of the Component 2 of the project with respect to MRV set up for the Residential Buildings sector, as well as one of the key partners for Component 3 for the pilot project on energy efficiency and renewable energy in buildings.
Ministry of Housing and Utilities	Responsible for development and implementation of the national programs to ensure comfortable living conditions and enabling environment of living with reduction of the cost of housing and communal services.	One of the key partners for Component 3 with respect to the pilot project on energy-efficient public lighting and efficiency in heat supply systems.
National Academy of Sciences: Institute of Nature Management	Research in the area of natural resource management, in particular on peatland restoration and eco-system-based GHG emission accounting.	Partner on Component 2: design of appropriate MRV approaches and methodologies for AFOLU sector, as well as on Component 3 on AFOLU pilot MRVs.
Partner Municipalities	Development and implementation of the Sustainable Energy Action Plans (SEAPs) and other appropriate urban mitigation actions.	Partners for design and implementation of pilot MRVs in urban sectors under Component 3.

Gender equality and empowering women:

32. The Gender Analysis for the Project was conducted to analyze gender-related needs and roles related to the Project and develop an action plan to ensure gender is adequately mainstreamed into the project. Key Findings from the assessment indicate:

- Belarus is ranked high on the OECD "gender index". It has high level of female human development indicators and gender-neutral legislation. In particular, Belarusian women are more educated than men, have a high level of labor force participation, and are represented in politics.
- In spite of their higher educational level, women are worse off than men in economic opportunities and earnings. In particular, women on average earn less than men, are less likely to be represented at the top levels in politics and public administration

- There is a lack of regular, detailed gender disaggregated statistics in Belarus. Existing sources of gender statistics provided sporadic information and are not regularly updated.
- There is a very high level of structural segregation in the labor market in Belarus. Women are concentrated in traditional female dominated sectors, such as health and education, whereas in the priority NDC sectors, share of women in total work force is less than 50%, i.e. in forestry - 31%, in agriculture – 41%, in municipal (housing and communal) services – 36%. On other side, as beneficiaries of products and services from these sectors, women's role is more pronounced.

33. Key recommendations included in the project Gender Action plan (Please refer to Annex G for full details on conducted analysis and action plan) are as follows:

- Component 1: Integrate gender impact assessment in the scope of Activity 1.1.1, i.e. analysis of climate change mitigation pathways and their associated costs and impacts for Belarus
- Component 2: Make sure that National methodologies and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions in municipal and AFOLU sector does incorporate guidance on identifying and monitoring gender-related impacts of climate change mitigation measures
- Component 3: Each pilot MRV project must conduct gender assessment at design stage and integrate relevant gender-disintegrated indicators in the scope of pilot MRV systems. Lessons learnt report to be prepared by the project shall integrate a chapter on project impacts and findings, as far as gender is concerned.

34. In addition, efforts will be made to have acceptable gender representation in project management structures (committees, institutional frameworks, technical team) and capacity building actions (trainings, workshops). Men and women have equal rights in analytical work. Both women and men will participate in the Project. Specialists perform scientific research, prepare reports and carry out projects regardless of their gender, the choice of employees to participate in the Project will depend only on their competence and experience in the proposed field.
35. Institutions to be consulted on gender issues at national level will include, but are not limited to: Ministries in charge of gender, the gender focal point for the convention on climate change, civil society organizations working in the fields of gender and climate change as well as research institutions and development partners working on gender issues, for example: Ministry of Health of the Republic of Belarus, National Statistical Committee of the Republic of Belarus, Ministry of Labour and Social Protection Republic of Belarus.

36. UNDP has a strong role to play as knowledge broker, capacity development supporter and partnership facilitator when countries work together to find solutions to common development challenges. South-South and Triangular Cooperation (SSTrC) is a necessity to ensure an inclusive global partnership towards sustainable development. UNDP will support and encourage SSTrc to ensure knowledge exchanges, technology transfer, peer support, and neighborhood initiatives, as well as countries forming common development agendas and seeking collective solutions.

37. The project will rely on relevant international experience and best practices with market-based climate finance mechanisms, with a particular focus on countries with similar geographic, socio-economic context and environmental context. Such collaboration will be promoted via envisaged partnership with UNDP-implemented EU4Climate project which will facilitate such exchange amount EU Eastern Partnership countries, as well with EU members. Also, given a high interest and potential for climate action in Belarus' forestry sector, partnership and learning opportunities with New Zealand will be explored (See Text Box 2).

Text Box 2

New Zealand is an interesting and potentially very valuable case study for policy makers in Belarus because it is a country with strong governmental institutions and it has an emissions profile similar to Belarus. For example, 50% of its annual emissions come from the country's proportionally large agriculture sector. In addition, New Zealand has in place a domestic ETS since 2008 which includes the forestry sector and which intends in future to also include the agricultural sector. Further, New Zealand currently offsets around 25% of its total annual emissions with net reductions from changes in land use, land use change and forestry practices. This latter figure is mostly due to afforestation, i.e. the planting of new forests. To enable this, New Zealand developed and put in place robust MRV system for its forestry sector and included the sector in the scope of its national ETS. New Zealand is the first country in the world to have forestry in its domestic ETS.

Sustainability and Scaling Up

38. The sustainability of this project can be found in the fact that it directly supports the Government of Belarus in implementing its commitment under the Paris Agreement in the most cost-effective way by a) helping to identify sectors with largest and cost-effective abatement potential and b) enabling the country to introduce market-based climate finance mechanisms, in particular the required MRV system. Component 3 will only be able to support a number of pilot MRV projects. Through these pilots essential knowledge, technical and methodological basis will be built in the key sectors, and as a result of Component 1 and 2 enabling policy, regulatory and methodological basis will be formally adopted for application of such mechanisms and their MRV systems at the national and sectoral level.

39. The choice of pilot MRV projects under Component 3 has been made as to ensure maximum potential for their scaling-up and replication through the relevant State Sectoral Programs. For example, State Peatland Restoration Program for 2016-2020 envisages restoration of 3,800 hectares of degraded peatlands. Therefore, scaling-up potential for a pilot peatland MRV covering 230 hectares stands at 1:20 during project life-time and this will be ensured via mandatory regulatory framework for MRV to be established under Component 2. Beyond project lifetime, there are 400,000 hectares of degraded peatlands in the country and therefore scaling-up potential is much higher. All four pilot MRVs will results in adoption of methodological guidelines for mandatory MRV system in AFOLU and urban/municipal sector thus enabling immediate scaling-up effect to happen already in the course of the project.

V. PROJECT MANAGEMENT

Cost efficiency and effectiveness

40. The global environmental benefits of this project are estimated as 40,500 tonnes of CO2 equivalent in direct emission reductions to be reduced over the investment lifetime.
41. For the bottom-up GHG emission reduction analysis, different types of pilot climate change mitigation projects have been analysed: (I) Energy efficiency in buildings; (II) Energy efficiency in public lighting; (III) Peatland restoration and Sustainable Forest Management. To establish benchmarks and establish criteria for the selection of MRV pilots several examples of the most feasible measures typical for Belarus have been identified and analysed based on information from analogous demonstration projects (either completed pilots or prepared feasibility studies). It is important to note that the results obtained are tentative because of the very small sample available of the project for which monitoring data have been collected (e.g. energy consumption before and after). This analysis (see Table 8 - Table 10) yield the benchmarks that this project will adopt to select MRV pilots to ensure achievement of the established cumulative GHG emission reduction target of 40,500 tCO2e over investment life-time.

Table 8 Global Environmental Benefits: Energy efficiency in buildings

Pilot project: EE retrofit of multi-apartment residential buildings in Baranovici (5,652 m2) - implemented[8]	Energy savings, GCal/year	Emission co-efficient, tCO2/GCal[9]	GHG emission reduction, ktCO2/year	**GHG emission reduction, benchmark, tCO2/m2/year**
- Wall thermal insulation - Roof thermal insulation - EE windows - Heat supply efficiency	176	0,306	54	**0,01**

Table 9 Global Environmental Benefits: Energy efficiency in public lighting

Pilot project: EE retrofit of public lighting system in the city of Novogrudok (62 km, 1,566 lighting fixtures) in – pre-FS[10]	Energy savings, MWh/year	Emission co-efficient, tCO2/MWh	GHG emission reduction, tCO2/year	GHG emission reduction benchmark, **tCO2/lighting fixture/year**
- Replacement of old lighting fixtures (LF) with LED lighting	607	0,400	243	**0,15**

Table 10 Global Environmental Benefits: Peatland restoration

Pilot project: Zhadenovsky moch	Emission reductions, tCO2e/ha/year	Territory	GHG emission reduction, tCO2/year	**tCO2/ha/year**
Peatland restoration & sustainable forest	2,95	573	1,690	42,259

[8] World Bank 2015 "Belarus - Scaling up energy efficiency retrofit of residential and public buildings : assessment of investment needs, implementation constraints, financing options, and delivery models"

[9] In the ТКП 17.09-01-2011 (Official rules for estimating GHG emission reduction in energy sector in the Republic of Belarus) the carbon emission factor for heat production equal to $1{,}83 \times 10^{-3}$ tonnes of CO2 per kilograms of coal equivalent is used. Specific fuel consumption for heat production is varied from year to year and for 2016 it was equal 167,06 kilograms of coal eq. per GCal and for 2017 - 166,63 kilograms of coal eq. per GCal.

[10] UNDP-GEF Project Document "Supporting Green Urban Development in Small and Medium-Sized Cities in Belarus"

management project				

42. Based on conducted analysis, to ensure the most cost-effective achievement of GHG emission reduction target of 40,500 tCO2e directly over investment lifetime, the following criteria regarding minimum scope of MRV pilots have been established for project selection Table 11, as also reflected in the Project Result Framework.

Table 11 Criteria for pilot MRV project selection and GHG expected global environmental benefits

Pilot MRV project	GHG emission reduction benchmark	Min GHG emission reduction tCO2/inv lifetime	Investment lifetime	**Minimum project scale**
Energy efficiency in buildings and heat supply	0,01 tCO2/m2/yr	10,000	30	**33,000 m2**
Energy efficiency in public lighting	0,15 tCO2/LF/yr	10,000	15	**4,300 LF**
Peatland restoration and/or sustainable forest management project	2,95 tCO2e/ha/yr	20,500	30	**230 ha**

Project management

43. PMU headed by the Project Manager will be established by the MNREP. The PMU will include the Project Manager, Administrative/ Financial Assistant (AFA) and will be supported by a part-time international CTA with an estimated 60 days per year. Specific responsibilities of the PMU staff described in the Annex B. MNREP will also provide premises to accommodate the Project Management Unit (PMU), as well as access to telephone and Internet services. Effectiveness of the PMU staff's work will be evaluated annually. The Project will be supported by international and national expert assignments.

44. Agreement on intellectual property rights and use of logo on the project's deliverables and disclosure of information**:** To accord proper acknowledgement to the GEF for providing grant funding, the GEF logo will appear together with the UNDP logo on all promotional materials, other written materials like publications developed by the project, and project hardware. Any citation on publications regarding projects funded by the GEF will also accord proper acknowledgement to the GEF. Information will be disclosed in accordance with relevant policies notably the UNDP Disclosure Policy[11] and the GEF policy on public involvement[12].

[11] See http://www.undp.org/content/undp/en/home/operations/transparency/information_disclosurepolicy/

[12] See https://www.thegef.org/gef/policies_guidelines

VI. PROJECT RESULTS FRAMEWORK

This project will contribute to the following Sustainable Development Goal (s): Primary impact: *SDG 13, Secondary impacts: SDGs 3, 5, 7, 8, 11, 12, 15*				
This project will contribute to the following country outcome included in the UNDAF/Country Programme Document: UNDP Belarus Country Programme 2016-2020 (Output 3.1: Solutions developed at national and subnational levels for the sustainable management of natural resources, ecosystem services, chemicals and waste) and UNDAF for Belarus for 2016-2020 (Outcome 3.1: By 2020, policies will have been improved and measures will have been effectively implemented to increase energy efficiency and the production of renewable energy, to protect landscape and biological diversity, and to reduce the anthropogenic burden on the environment).				
This project will be linked to the following output of the UNDP Strategic Plan (UNDP SP): *OUTPUT 2.4.1 Legal and regulatory frameworks, policies and institutions strengthened, and solutions adopted, to address conservation, sustainable use and equitable benefit sharing of natural resources, in line with international conventions and national legislation* *OUTPUT 2.5.1 Solutions developed, financed and applied at scale for transformation to clean energy and zero-carbon development*				
	Objective and Outcome Indicators (no more than a total of 15 -16 indicators)	**Baseline[13]**	**End of Project Target**	**Data Collection Methods and Risks/Assumptions[14]**
Project Objective: to build Belarus' capacities to design and implement market-based climate finance mechanisms, to improve and continuously update NDCs, and to set-up a robust MRV in the priority sectors	Mandatory Indicator 1 (from UNDP SP): Existence of targets for low emission and climate-resilient development in: a) Development plans and strategies b) Budgets c) Private sector business plans and strategies	*INDC adopted in 2015 with national target until 2030 excluding LULUCF/AFOLU*	*NDC updated to include LULUCF/AFOLU sector and sectoral GHG emission reduction/absorption targets*	*Risk:* Consensus regarding the scope and level of ambitions of sectoral NDCs is not reached and updated NDCs are not adopted by 2020 *Assumption:* The project is endorsed and approved for implementation timely
	Mandatory indicator 2 (GEF CCM Core Indicator): Volume of investment mobilized and leveraged by the project for zero-carbon development, of which: - public (mln US$) - private (mln US$) [UNDP Strategic Plan 2018-2023, Output 2.5.1] "Amount of resources brokered by UNDP for investment in renewable energy and zero-carbon development"	*N/a*	*2,2 mln US$ (public)*	Risks: Co-financing partners may lack resources to finance pilot MRV projects Assumptions: The level of funding under State Sector Program remains as foreseen at their time of their approval

[13] Baseline, mid-term and end of project target levels must be expressed in the same neutral unit of analysis as the corresponding indicator. Baseline is the current/original status or condition and need to be quantified. The baseline must be established before the project document is submitted to the GEF for final approval. The baseline values will be used to measure the success of the project through implementation monitoring and evaluation.

[14] Data collection methods should outline specific tools used to collect data and additional information as necessary to support monitoring. The PIR cannot be used as a source of verification.

	Mandatory Indicator 3 (GEF CCM Core Indicator): Direct GHG emission reductions over the investment life-time	*N/a*	*40,500 tCO2e*	Risks: Coordination issues and delay in activities may arise due to the need to synchronize decision-making for funding allocation for pilot projects between different agencies involved Assumptions: Funds allocated to finance pilot MRV projects
Component/Outcome[15] 1: Capacity building for improved NDCs and market-based climate finance mechanisms to support NDCs implementation	*Indicator 4:* Status and sectoral coverage of NDCs	*INDC adopted in 2015 with national target until 2030 excluding LULUCF/AFOLU*	*NDC updated to include LULUCF/AFOLU sector and sectoral GHG emission reduction/absorption targets (at least 2 sectors)*	*Risks:* The risk that a consensus regarding the scope and level of ambitions of sectoral NDCs is not reached and updated NDCs are not adopted by 2020 Assumptions: Sustained public policy support for Paris Agreement
	Indicator 5: Status of domestic market-based climate finance mechanisms	*No domestic market-based climate finance mechanisms in place*	*Appropriate climate-finance mechanisms identified and roadmap for their implementation prepared and approved*	Risks: Lack of practical experience with climate finance mechanisms and lack of clarity regarding international framework for Article 6 of the Paris Agreement may jeopardize the process of introduction of appropriate climate finance mechanisms in Belarus. Assumptions: High level of national technical staff capability maintained
Component/ Outcome 2 Strengthened GHG accounting capacity and enhanced system of MRV	*Indicator 6 (based on GEF CCM Core Indicator and MRV rating system):* Quality of MRV System	*2: Measurement system is in place, but quality is different for different sectors. In particularly for AFOLU: data is of poor quality and methodologies are not sufficiently robust. Reporting is done only on request and there is no verification.*	*6: Measurement systems are strong and cover a greater percentage of activities/sectors, such as LULUCF. Reporting is regular (annual) and institutionalized. Verification is done through standard and internally accepted methodologies and protocols.*	Risks: The risk that a consensus regarding the scope of MRV coverage is not reached and required regulatory documents are not adopted Assumptions: Sustained public policy support for Paris Agreement
	Indicator 7: *Status of legal and regulatory framework*	*No regulatory provisions for MRV exist*	*Draft MRV Laws and a package of by-laws developed and*	Risks: The risk that a consensus regarding the scope of MRV coverage is not reached and required regulatory documents are not adopted

[15]Outcomes are short to medium term results that the project makes a contribution towards, and that are designed to help achieve the longer term objective. Achievement of outcomes will be influenced both by project outputs and additional factors that may be outside the direct control of the project.

	for MRV		*proposed for adoption*	
				Assumptions: Sustained public policy support for Paris Agreement
Component/ Outcome 3 Demonstration Projects using MRV best practice	*Indicator 8: Scale of building sector MRV system (heated area covered by MRV) in line with international best practices and requirements*	*0*	*33,000 m2*	Risks: Coordination issues and delay in activities may arise due to the need to synchronize decision-making for funding allocation for pilot projects between different agencies involved
				Assumptions: Funds allocated to finance pilot MRV projects
	Indicator 9: Scale of lighting sector MRV system (number of lighting fixtures covered by MRV) in line with international best practices and requirements	*0*	*4,300 m2*	
	Indicator 10: number of hectares (ha) of natural resources (forests, peatlands, etc) covered by MRV in line with international best practices and requirements	*0*	*230 ha*	Risks: Coordination issues and delay in activities may arise due to the need to synchronize decision-making for funding allocation for pilot projects between different agencies involved
				Assumptions: Funds allocated to finance pilot MRV projects
	Indicator 11: number of users and beneficiaries of pilot MRV systems, including female	*0*	*To be established at the inception phase when pilot MRV projects are identified*	Risks: Beneficiaries/data owners may not be willing to share the data
				Assumptions: MRV system for pilot project also cover socio-economic and gender impacts

VII. MONITORING AND EVALUATION (M&E) PLAN

45. The project results as outlined in the project results framework will be monitored annually and evaluated periodically during project implementation to ensure the project effectively achieves these results.

46. Project-level monitoring and evaluation will be undertaken in compliance with UNDP requirements as outlined in the UNDP POPP and UNDP Evaluation Policy. The UNDP Country Office will work with the relevant project stakeholders to ensure UNDP M&E requirements are met in a timely fashion and to high quality standards. Additional mandatory GEF-specific M&E requirements (as outlined below) will be undertaken in accordance with the GEF M&E policy and other relevant GEF policies[16].

47. In addition to these mandatory UNDP and GEF M&E requirements, other M&E activities deemed necessary to support project-level adaptive management will be agreed during the Project Inception Workshop and will be detailed in the Inception Report. This will include the exact role of project target groups and other stakeholders in project M&E activities including the GEF Operational Focal Point and national/regional institutes assigned to undertake project monitoring. The GEF Operational Focal Point will strive to ensure consistency in the approach taken to the GEF-specific M&E requirements (notably the GEF Core Indicators) across all GEF-financed projects in the country. This could be achieved for example by using one national institute to complete the GEF Core Indicators for all GEF-financed projects in the country, including projects supported by other GEF Agencies.[17]

M&E Oversight and monitoring responsibilities:

48. Project Manager: The Project Manager is responsible for day-to-day project management and regular monitoring of project results and risks, including social and environmental risks. The Project Manager will ensure that all project staff maintain a high level of transparency, responsibility and accountability in M&E and reporting of project results. The Project Manager will inform the Project Board, the UNDP Country Office and the UNDP-GEF RTA of any delays or difficulties as they arise during implementation so that appropriate support and corrective measures can be adopted.

49. The Project Manager will develop annual work plans based on the multi-year work plan included in Annex A, including annual output targets to support the efficient implementation of the project. The Project Manager will ensure that the standard UNDP and GEF M&E requirements are fulfilled to the highest quality. This includes, but is not limited to, ensuring the results framework indicators are monitored annually in time for evidence-based reporting in the GEF PIR, and that the monitoring of risks and the various plans/strategies developed to support project implementation (e.g. gender action plan, stakeholder engagement plan etc..) occur on a regular basis.

50. Project Board: The Project Board will take corrective action as needed to ensure the project achieves the desired results. The Project Board will hold project reviews to assess the performance of the project and appraise the Annual Work Plan for the following year. In the project's final year, the Project Board will hold an end-of-project review to capture lessons learned and discuss opportunities for scaling up and to highlight project results and lessons learned with relevant audiences. This final review meeting will also discuss the findings outlined in the project terminal evaluation report and the management response.

51. Project Implementing Partner: The Implementing Partner, the Ministry of Natural Resources and Environment Protection is responsible for providing all required information and data necessary for timely, comprehensive and evidence-based project reporting, including results and financial data, as necessary. The Implementing Partner will strive to ensure project-level M&E is undertaken by national institutes, and is aligned with national systems so that the data used and generated by the project supports national systems.

[16] See https://www.thegef.org/gef/policies_guidelines

[17] See https://www.thegef.org/gef/gef_agencies

52. UNDP Country Office: The UNDP Country Office will support the Project Manager as needed, including through annual supervision missions to visit pilot project sites across Belarus. The annual supervision missions will take place according to the schedule outlined in the annual work plan. Supervision mission reports will be circulated to the project team and Project Board within one month of the mission. The UNDP Country Office will initiate and organize key GEF M&E activities including the annual GEF PIR and the independent terminal evaluation. The UNDP Country Office will also ensure that the standard UNDP and GEF M&E requirements are fulfilled to the highest quality.

53. The UNDP Country Office is responsible for complying with all UNDP project-level M&E requirements as outlined in the UNDP POPP. This includes ensuring the UNDP Quality Assurance Assessment during implementation is undertaken annually; that annual targets at the output level are developed, and monitored and reported using UNDP corporate systems; the regular updating of the ATLAS risk log; and, the updating of the UNDP gender marker on an annual basis based on gender mainstreaming progress reported in the GEF PIR and the UNDP ROAR. Any quality concerns flagged during these M&E activities (e.g. annual GEF PIR quality assessment ratings) must be addressed by the UNDP Country Office and the Project Manager.

54. The UNDP Country Office will retain all M&E records for this project for up to seven years after project financial closure to support ex-post evaluations undertaken by the UNDP Independent Evaluation Office (IEO) and/or the GEF Independent Evaluation Office (IEO).

55. UNDP-GEF Unit: Additional M&E and implementation quality assurance and troubleshooting support will be provided by the UNDP-GEF Regional Technical Advisor and the UNDP-GEF Directorate as needed.

56. **Audit**: The project will be audited as per UNDP Financial Regulations and Rules and applicable audit policies on NIM implemented projects.[18]

Additional GEF monitoring and reporting requirements:

57. Inception Workshop and Report: A project inception workshop will be held within two months after the project document has been signed by all relevant parties to, amongst others:

a) Re-orient project stakeholders to the project strategy and discuss any changes in the overall context that influence project strategy and implementation;
b) Discuss the roles and responsibilities of the project team, including reporting and communication lines and conflict resolution mechanisms;
c) Review the results framework and finalize the indicators, means of verification and monitoring plan;
d) Discuss reporting, monitoring and evaluation roles and responsibilities and finalize the M&E budget; identify national/regional institutes to be involved in project-level M&E; discuss the role of the GEF OFP in M&E;
e) Update and review responsibilities for monitoring the various project plans and strategies, including the risk log; SESP, Environmental and Social Management Plan and other safeguard requirements; project grievance mechanisms; the gender strategy; the knowledge management strategy, and other relevant strategies;
f) Review financial reporting procedures and mandatory requirements, and agree on the arrangements for the annual audit; and
g) Plan and schedule Project Board meetings and finalize the first year annual work plan.

58. The Project Manager will prepare the inception report no later than one month after the inception workshop. The inception report will be cleared by the UNDP Country Office and the UNDP-GEF Regional Technical Adviser, and will be approved by the Project Board.

[18] See guidance here: https://info.undp.org/global/popp/frm/pages/financial-management-and-execution-modalities.aspx

59. GEF Project Implementation Report (PIR): The Project Manager, the UNDP Country Office, and the UNDP-GEF Regional Technical Advisor will provide objective input to the annual GEF PIR covering the reporting period July (previous year) to June (current year) for each year of project implementation. The Project Manager will ensure that the indicators included in the project results framework are monitored annually in advance of the PIR submission deadline so that progress can be reported in the PIR. Any environmental and social risks and related management plans will be monitored regularly, and progress will be reported in the PIR.

60. The PIR submitted to the GEF will be shared with the Project Board. The UNDP Country Office will coordinate the input of the GEF Operational Focal Point and other stakeholders to the PIR as appropriate. The quality rating of the previous year's PIR will be used to inform the preparation of the subsequent PIR.

61. Lessons learned and knowledge generation: Results from the project will be disseminated within and beyond the project intervention area through existing information sharing networks and forums. The project will identify and participate, as relevant and appropriate, in scientific, policy-based and/or any other networks, which may be of benefit to the project. The project will identify, analyse and share lessons learned that might be beneficial to the design and implementation of similar projects and disseminate these lessons widely. There will be continuous information exchange between this project and other projects of similar focus in the same country, region and globally.

62. GEF Focal Area Core Indicators: The following GEF Core Indicator(s) will be used to monitor global environmental benefits: *Climate Change Mitigation (CCM) Core Indicator*. The updated CEO Endorsement GEF Focal Area Core Indicator – submitted as Annex B to this project document – will be shared with terminal evaluation consultants before the required evaluation missions take place. The updated GEF Core Indicator(s) will be submitted to the GEF along with the completed Terminal Evaluation report.

63. Terminal Evaluation (TE): An independent terminal evaluation (TE) will take place upon completion of all major project outputs and activities. The terminal evaluation process will begin three months before operational closure of the project allowing the evaluation mission to proceed while the project team is still in place, yet ensuring the project is close enough to completion for the evaluation team to reach conclusions on key aspects such as project sustainability. The Project Manager will remain on contract until the TE report and management response have been finalized. The terms of reference, the evaluation process and the final TE report will follow the standard templates and guidance prepared by the UNDP IEO for GEF-financed projects available on the UNDP Evaluation Resource Center. As noted in this guidance, the evaluation will be 'independent, impartial and rigorous'. The consultants that will be hired to undertake the assignment will be independent from organizations that were involved in designing, executing or advising on the project to be evaluated. The GEF Operational Focal Point and other stakeholders will be involved and consulted during the terminal evaluation process. Additional quality assurance support is available from the UNDP-GEF Directorate. The final TE report will be cleared by the UNDP Country Office and the UNDP-GEF Regional Technical Adviser, and will be approved by the Project Board. The TE report will be publicly available in English on the UNDP ERC.

64. The UNDP Country Office will include the planned project terminal evaluation in the UNDP Country Office evaluation plan, and will upload the final terminal evaluation report in English and the corresponding management response to the UNDP Evaluation Resource Centre (ERC). Once uploaded to the ERC, the UNDP IEO will undertake a quality assessment and validate the findings and ratings in the TE report, and rate the quality of the TE report. The UNDP IEO assessment report will be sent to the GEF IEO along with the project terminal evaluation report.

65. Final Report: The project's terminal PIR along with the terminal evaluation (TE) report and corresponding management response will serve as the final project report package. The final project report package shall be discussed with the Project Board during an end-of-project review meeting to discuss lesson learned and opportunities for scaling up.

Mandatory GEF M&E Requirements and M&E Budget

Table 12 M&E Requirements and Budget

GEF M&E requirements	Primary responsibility	Indicative costs to be charged to the Project Budget[19] (US$)		Time frame
		GEF grant	Co-financing	
Inception Workshop	UNDP Country Office Implementing Partner, PM	USD 2,000	*USD 2,000*	Within two months of project document signature
Inception Report	Project Manager	None	None	Within two weeks of inception workshop
Standard UNDP monitoring and reporting requirements as outlined in the UNDP POPP	UNDP Country Office	None	None	Quarterly, annually
Risk management	Project Manager Country Office	None	None	Quarterly, annually
Monitoring of indicators in project results framework	Project Manager	Per year: USD 1,000	Per year: USD 1,500	Annually before PIR
GEF Project Implementation Report (PIR)	Project Manager and UNDP Country Office and UNDP-GEF team	None	None	Annually
NIM Audit as per UNDP audit policies	UNDP Country Office	USD 3,000	*None*	Annually or other frequency as per UNDP Audit policies
Lessons learned and knowledge generation	Project Manager	*USD 500*	*None*	Annually
Monitoring of environmental and social risks, and corresponding management plans as relevant	Project Manager UNDP Country Office	*None*	*None*	On-going
Stakeholder Engagement Plan	Project Manager UNDP Country Office	*None*	*None*	On-going
Gender Action Plan	Project Manager UNDP Country Office UNDP GEF team	*None*	*None*	On-going
Addressing environmental and social grievances	Project Manager UNDP Country Office	*None*	*None*	On-going
Project Board meetings	Project Board UNDP Country Office Project Manager	*Per year: USD 500*	*Per year: USD 1000*	At minimum annually
Supervision missions	UNDP Country Office	None[20]	*None*	Annually
Oversight missions	UNDP-GEF team	None[20]	*None*	Troubleshooting as needed
GEF Secretariat learning missions/site visits	UNDP Country Office and Project Manager and UNDP-GEF team	None	*None*	To be determined.
Terminal GEF Core Indicator to be updated	Project Manager	USD 5,000	*USD 2,500*	Before terminal evaluation mission takes place
Independent Terminal Evaluation (TE) included in UNDP evaluation plan, and management response	UNDP Country Office and Project team and UNDP-GEF team	USD 25,000	*USD 5,000*	At least three months before operational closure
Translation of TE reports into local language	*UNDP Country Office*	*USD 2,000*	*None*	*As required. GEF will only accept*

[19] Excluding project team staff time and UNDP staff time and travel expenses.

[20] The costs of UNDP Country Office and UNDP-GEF Unit's participation and time are charged to the GEF Agency Fee.

GEF M&E requirements	Primary responsibility	Indicative costs to be charged to the Project Budget (US$)		Time frame
		GEF grant	Co-financing	
				reports in English.
TOTAL indicative COST Excluding project team staff time, and UNDP staff and travel expenses		*USD 39,500*	*USD 17,000*	

VIII. GOVERNANCE AND MANAGEMENT ARRANGEMENTS

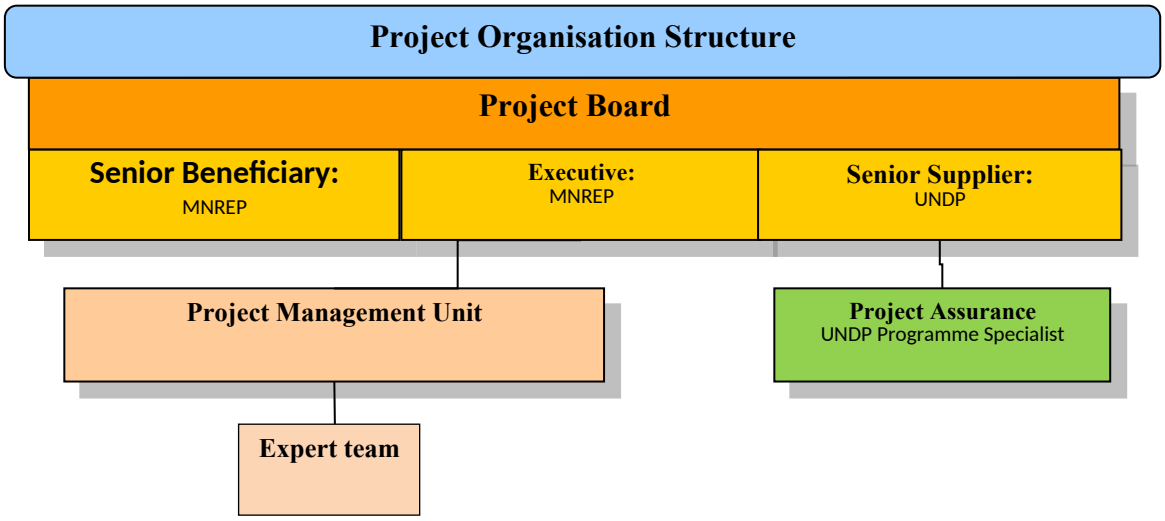
66. Roles and responsibilities of the project's governance mechanism: The project will be implemented following UNDP's national implementation modality, according to the Standard Basic Assistance Agreement between UNDP and the Government of the Republic of Belarus, and the Country Programme.

67. The **Implementing Partner** for this project is *the Ministry of Natural Resources and Environmental Protection* of the Republic of Belarus. The Implementing Partner is responsible and accountable for managing this project, including the monitoring and evaluation of project interventions, achieving project outcomes, and for the effective use of the GEF resources.

68. The Implementing Partner is responsible for:

- Approving and signing the multiyear workplan;
- Approving and signing the combined delivery report at the end of the year; and,
- Signing the financial report or the funding authorization and certificate of expenditures.

69. The project organization structure is as follows:



70. **Project Board:** The Project Board is responsible for making by consensus, management decisions when guidance is required by the Project Manager, including recommendations for UNDP/Implementing Partner approval of project plans and revisions, and addressing any project level grievances. Project Board decisions will be made by consensus in accordance with standards that shall ensure management for development results, best value money, fairness, integrity, transparency and effective international competition. The Project Manager will participate in the PB meetings without vote, and will be responsible for preparing a summary report based on the discussions held and conclusions made at every meeting. The

first PB meeting will take place within the first 3 months after the launch of the Project. The progress of the Project will be discussed at PB meetings at least twice per year. Project Board meetings can be held more frequently on an as-needed basis, which includes through voting by email.

71. Project Board will be chaired by the Ministry of Natural Resources and Environmental Protection and will include other key national stakeholders and partners, as follows (the exact composition of the Project Board will be formalized during project inception stage):

- Ministry of Economy
- Ministry of Energy
- Ministry of Forestry
- Ministry of Construction and Architecture
- Ministry of Housing and Utilities
- NGO Green Economy
- UNDP

72. Specific responsibilities of the Project Board include:

- Provide overall guidance and direction to the project, ensuring it remains within any specified constraints;
- Address project issues as raised by the project manager, MNREP and UNDP or other PB members;
- Provide guidance on new project risks, and agree on possible countermeasures and management actions to address specific risks;
- Agree on project manager's tolerances as required;
- Review the project progress, and provide direction and recommendations to ensure that the agreed deliverables are produced satisfactorily according to plans;
- Appraise the annual project implementation report, including the quality assessment rating report; make recommendations for the workplan;
- Provide ad hoc direction and advice for exceptional situations when the project manager's tolerances are exceeded; and
- Assess and decide to proceed on project changes through appropriate revisions by undertaking adaptive management by following UNDP procedures and rules on adaptive management.

73. The composition of the Project Board must include the following roles:

74. Executive: The Executive is an individual who represents ownership of the project who will chair the Project Board. This role will be held by a senior official appointed by the *Ministry of Natural Resources and Environmental Protection.*

75. The Executive is ultimately responsible for the project, supported by the Senior Beneficiary and Senior Supplier. The Executive's role is to ensure that the project is focused throughout its life cycle on achieving its objectives and delivering outputs that will contribute to higher level outcomes. The executive has to ensure that the project gives value for money, ensuring cost-conscious approach to the project, balancing the demands of beneficiary and suppler.

76. Specific Responsibilities: (as part of the above responsibilities for the Project Board)

- Ensure that there is a coherent project organisation structure and logical set of plans;
- Set tolerances in the AWP and other plans as required for the Project Manager;
- Monitor and control the progress of the project at a strategic level;
- Ensure that risks are being tracked and mitigated as effectively as possible;
- Brief relevant stakeholders about project progress;
- Organise and chair Project Board meetings.

77. Senior Supplier: The Senior Supplier is an individual or group representing the interests of the parties concerned which provide funding and/or technical expertise to the project (designing, developing, facilitating, procuring, implementing). The Senior Supplier's primary function within the Board is to provide guidance regarding the technical feasibility of the project. The Senior Supplier role must have the authority to commit or acquire supplier resources required. If necessary, more than

one person may be required for this role. Typically, the implementing partner, UNDP and/or donor(s) would be represented under this role. The Senior Suppler is: *UNDP*.

78. Specific Responsibilities (as part of the above responsibilities for the Project Board)

- Make sure that progress towards the outputs remains consistent from the supplier perspective;
- Promote and maintain focus on the expected project output(s) from the point of view of supplier management;
- Ensure that the supplier resources required for the project are made available;
- Contribute supplier opinions on Project Board decisions on whether to implement recommendations on proposed changes;
- Arbitrate on, and ensure resolution of, any supplier priority or resource conflicts.

79. Senior Beneficiary: The Senior Beneficiary is an individual or group of individuals representing the interests of those who will ultimately benefit from the project. The Senior Beneficiary's primary function within the Board is to ensure the realization of project results from the perspective of project beneficiaries. The Senior Beneficiary role is held by a representative of the government or civil society. The Senior Beneficiary is the Ministry of Natural Resources and Environmental Protection of Belarus.

80. The Senior Beneficiary is responsible for validating the needs and for monitoring that the solution will meet those needs within the constraints of the project. The Senior Beneficiary role monitors progress against targets and quality criteria. This role may require more than one person to cover all the beneficiary interests. For the sake of effectiveness, the role should not be split between too many people.

81. Specific Responsibilities (as part of the above responsibilities for the Project Board)

- Prioritize and contribute beneficiaries' opinions on Project Board decisions on whether to implement recommendations on proposed changes;
- Specification of the Beneficiary's needs is accurate, complete and unambiguous;
- Implementation of activities at all stages is monitored to ensure that they will meet the beneficiary's needs and are progressing towards that target;
- Impact of potential changes is evaluated from the beneficiary point of view;
- Risks to the beneficiaries are frequently monitored.

82. **Project Manager**: The Project Manager is subordinated to the Executive and has the authority to run the project on a day-to-day basis on behalf of the Project Board within the constraints laid down by the Board. The Project Manager is responsible for day-to-day management and decision-making for the project. The Project Manager's prime responsibility is to ensure that the project produces the results specified in the project document, to the required standard of quality and within the specified constraints of time and cost.
83. The Project Manager will be selected through an open competitive process in accordance with the respective UNDP rules and procedures taking into account consultations with the MNREP. Effectiveness of the Project Manager work will be evaluated annually by UNDP Belarus. Based on the evaluation results and consultations with the Implementing Partner, a decision will be made on renewal/ non-renewal of the Project Manager's contracts. The Project Manager will be supported by short-term international and national experts, particularly a part-time Procurement Specialist.
84. Specific responsibilities include:

- Provide direction and guidance to project team(s)/ responsible party (ies);
- Liaise with the Project Board to assure the overall direction and integrity of the project;
- Identify and obtain any support and advice required for the management, planning and control of the project;
- Responsible for project administration;
- Plan the activities of the project and monitor progress against the project results framework and the approved annual workplan;
- Mobilize personnel, goods and services, training and micro-capital grants to initiative activities, including drafting terms of reference and work specifications, and overseeing all contractors' work;
- Monitor events as determined in the project monitoring schedule plan/timetable, and update the plan as required;

- Manage requests for the provision of financial resources by UNDP, through advance of funds, direct payments or reimbursement using the fund authorization and certificate of expenditures;
- Monitor financial resources and accounting to ensure the accuracy and reliability of financial reports;
- Be responsible for preparing and submitting financial reports to UNDP on a quarterly basis;
- Manage and monitor the project risks initially identified and submit new risks to the project board for consideration and decision on possible actions if required; update the status of these risks by maintaining the project risks log;
- Capture lessons learned during project implementation;
- Prepare the annual workplan for the following year; and update the Atlas Project Management module if external access is made available.
- Prepare the GEF PIR and submit the final report to the Project Board;
- Based on the GEF PIR and the Project Board review, prepare the AWP for the following year.
- Identify follow-on actions and submit them for consideration to the Project Board;
- Ensure the terminal evaluation process is undertaken as per the UNDP guidance, and submit the final TE report to the Project Board;

85. **Project Assurance** role will rest with the respective UNDP Belarus Programme Specialist. UNDP provides a three – tier supervision, oversight and quality assurance role – funded by the GEF agency fee – involving UNDP staff in Country Offices and at regional and headquarters levels. Project Assurance must be totally independent of the Project Management function. The quality assurance role supports the Project Board and Project Management Unit by carrying out objective and independent project oversight and monitoring functions. This role ensures appropriate project management milestones are managed and completed. The Project Board cannot delegate any of its quality assurance responsibilities to the Project Manager. Additional quality assurance will be provided by the respective UNDP Regional Technical Advisor as needed.

Governance role for project target groups:

86. The Project main partners (Line Ministries of Energy, Forestry and Housing and Utilities) represented in the Inter-agency working group on climate change issues of the MNREP and the Public Environmental Coordinating Council under the MNREP will be included in the Project Board. Participation of the above-noted representatives in the work of the Project Board will qualify as their direct contribution to the Project management.

IX. FINANCIAL PLANNING AND MANAGEMENT

87. The total cost of the project is *USD 8,907,280*. This is financed through a GEF grant of *USD* 840,000, *USD 8,067,280* in parallel co-financing. UNDP, as the GEF Implementing Agency, is responsible for the execution of the GEF resources and the cash co-financing transferred to UNDP bank account only.

88. Parallel co-financing: The actual realization of project co-financing will be monitored during the terminal evaluation process and will be reported to the GEF. The planned parallel co-financing will be used as follows:

Table 13 Project co-financing

Co-financing source	Co-financing type	Co-financing amount	Planned Activities/Outputs	Risks	Risk Mitigation Measures
Ministry of Natural Resources and Environmental Protection (within the framework of the relevant state program)	In-kind	USD 80,000	Government contribution to the preparation/update of NDCs, national GHG inventory, project management and monitoring, other project-related activities	Low risk	N/a
	Cash	USD 550,000			
Ministry of Energy (within framework of relevant sectoral Program)	In-kind	USD 18,000	Measures to improve energy efficiency in heat supply systems for MRV pilot project	Coordination issues and delay in activities may arise due to the need to synchronize decision-making for funding allocation for pilot projects between different agencies involved	Coordination will be ensured through participation of line Ministries at PB meetings and by Project Manager via regular liaison
	Cash	USD 2,090,000			
Ministry of Forestry (within the framework of the relevant state program)	Cash	USD 262,000	AFOLU MRV		
Ministry of Housing and Utilities (within the framework of the relevant state program)	Cash	USD 3,927,500	Pilot projects and management	Coordination issues and delay in activities may arise due to the need to synchronize decision-making for funding allocation for pilot projects between different agencies involved	Coordination will be ensured through participation of line Ministries at PB meetings and by Project Manager via regular liaison
EU-funded UNDP Implemented EU4Climate project	In-kind	USD 130,000	Strengthening MRVs and update NDCs, project management, gender mainstreaming.	Low risk	Coordination will be facilitated by UNDP as the implementing agency for both GEF and EU funded projects
	Grant	USD 900,000			

NGO Green Economy	In-kind Grant	USD 10,000 USD 99,780	Pilot project on peatland restoration	Low risk	Via NGO
TOTAL		USD 8,067,280			

89. UNDP Direct Project Services as requested by Government (if any): The UNDP, as GEF Agency for this project, will provide project management cycle services for the project as defined by the GEF Council. In addition, the Government of Belarus may request UNDP direct services for specific projects, according to its policies and convenience. The UNDP and Government of Belarus acknowledge and agree that those services are not mandatory, and will be provided only upon Government request. If requested the services would follow the UNDP policies on the recovery of direct costs. These services (and their costs) are specified in the Letter of Agreement (Annex J). As is determined by the GEF Council requirements, these service costs will be assigned as Project Management Cost, duly identified in the project budget as Direct Project Costs. Eligible Direct Project Costs should not be charged as a flat percentage. They should be calculated on the basis of estimated actual or transaction based costs and should be charged to the direct project costs account codes: "64397- Services to projects – CO staff" and "74596 - Services to projects GOE for CO".
90. The support services will be provided in accordance with Annex J and will be clearly documented. In such a case, appropriate cost recovery will be charged as per UNDP-GEF rules and regulations. In providing such support services, the UNDP country office shall ensure that the capacity of the Government-designated institution is strengthened.
91. Support services for the activities of the project that the UNDP country office may provide at a request of the designated institution are described in Annex J. These include following support services for the activities of the programme/project:

a) Identification and/or recruitment of project and programme personnel;

b) Identification and facilitation of training activities;

c) Procurement of goods and services;

The procurement of goods and services and the recruitment of project and programme personnel by the UNDP country office shall be in accordance with the UNDP regulations, rules, policies and procedures.

The Annex G describes all additional services required of UNDP beyond its role in oversight between the IP and UNDP. The direct project costs requested of UNDP are also detailed in the Total Budget Work Plan.

Budget Revision and Tolerance: As per UNDP requirements outlined in the UNDP POPP, the project board will agree on a budget tolerance level for each plan under the overall annual work plan allowing the project manager to expend up to the tolerance level beyond the approved project budget amount for the year without requiring a revision from the Project Board. Should the following deviations occur, the Project Manager and UNDP Country Office will seek the approval of the UNDP-GEF team to ensure accurate reporting to the GEF: a) Budget re-allocations among components in the project with amounts involving 10% of the total project grant or more; b) Introduction of new budget items/or components that exceed 5% of original GEF allocation.

Any over expenditure incurred beyond the available GEF grant amount will be absorbed by non-GEF resources (e.g. UNDP TRAC or cash co-financing).

Refund to GEF: Should a refund of unspent funds to the GEF be necessary, this will be managed directly by the UNDP-GEF Unit in New York.

Project Closure: Project closure will be conducted as per UNDP requirements outlined in the UNDP POPP.[21] On an exceptional basis only, a no-cost extension beyond the initial duration of the project will be sought from in-country UNDP colleagues and then the UNDP-GEF Executive Coordinator.

Operational completion: The project will be operationally completed when the last UNDP-financed inputs have been provided and the related activities have been completed. This includes the final clearance of the Terminal Evaluation Report (that will be available in English) and the corresponding management response, and the end-of-project review Project Board meeting. The Implementing Partner through a Project Board decision will notify the UNDP Country Office when operational closure has been completed. At this time, the relevant parties will have already agreed and confirmed in writing on the arrangements for the disposal of any equipment that is still the property of UNDP.

[21] see https://info.undp.org/global/popp/ppm/Pages/Closing-a-Project.aspx

Transfer or disposal of assets: In consultation with the NIM Implementing Partner and other parties of the project, UNDP programme manager (UNDP Resident Representative) is responsible for deciding on the transfer or other disposal of assets. Transfer or disposal of assets is recommended to be reviewed and endorsed by the project board following UNDP rules and regulations. Assets may be transferred to the government for project activities managed by a national institution at any time during the life of a project. In all cases of transfer, a transfer document must be prepared and kept on file[22].

Financial completion: The project will be financially closed when the following conditions have been met: a) The project is operationally completed or has been cancelled; b) The Implementing Partner has reported all financial transactions to UNDP; c) UNDP has closed the accounts for the project; d) UNDP and the Implementing Partner have certified a final Combined Delivery Report (which serves as final budget revision).

The project will be financially completed within 12 months of operational closure or after the date of cancellation. Between operational and financial closure, the implementing partner will identify and settle all financial obligations and prepare a final expenditure report. The UNDP Country Office will send the final signed closure documents including confirmation of final cumulative expenditure and unspent balance to the UNDP-GEF Unit for confirmation before the project will be financially closed in Atlas by the UNDP Country Office.

[22] See https://popp.undp.org/_layouts/15/WopiFrame.aspx?sourcedoc=/UNDP_POPP_DOCUMENT_LIBRARY/Public/PPM_Project%20Management_Closing.docx&action=default.

X. TOTAL BUDGET AND WORK PLAN

Atlas Proposal or Award ID:	00106273	Atlas Primary Output Project ID:	00107084
Atlas Proposal or Award Title:	Emissions Trading and MRV in Belarus		
Atlas Business Unit	BLR10		
Atlas Primary Output Project Title	Emissions Trading and MRV in Belarus		
UNDP-GEF PIMS No.	6161		
Implementing Partner	Ministry of Natural Resources and Environmental Protection		

GEF Output/Atlas Activity	Responsible Party/[1] (Atlas Implementing Agent)	Fund ID	Donor Name	Atlas Budgetary Account Code	ATLAS Budget Description	Amount Year 1 (USD)	Amount Year 2 (USD)	Amount Year 3 (USD)	Total (USD)	*See Budget Note:*
OUTPUT 1:	*Ministry of Natural Resources and Environmental Protection*	**62000**	**GEF**	71300	Local Consultants	10,200	30,000	9,000	49,200	*1*
Capacity building for improved NDCs and market-based climate finance mechanisms to support NDCs implementation				71400	Contractual Services - Individ	14,300	14,300	14,300	42,900	*2*
				71600	Travel	5,500	5,500	5,500	16,500	*3*
				72100	Contractual Services-Companies	120,000	35,000	-	155,000	*4*
				74200	Audio Visual&Print Prod Costs	600	600	700	1,900	*5*
				75700	Training, Workshops and Confer	1,500	1,500	1,500	4,500	*6*
					TOTAL Output 1	**152,100**	**86,900**	**31,000**	**270,000**	
OUTPUT 2:	*Ministry of Natural Resources and Environmental Protection*	**62000**	**GEF**	71300	Local Consultants	16,200	7,500	7,500	31,200	*7*
Strengthened GHG accounting capacity and enhanced system of MRV				71400	Contractual Services - Individ	14,300	14,300	14,300	42,900	*8*
				72100	Contractual Services-Companies	80,000	70,000	-	150,000	*9*
				72500	Office Supplies	500	500	400	1,400	*10*
				75700	Training, Workshops and Confer	1,500	1,500	1,500	4,500	*11*
					TOTAL Output 2	**112,500**	**93,800**	**23,700**	**230,000**	
OUTPUT 3:	*Ministry of Natural Resources*	**62000**	**GEF**	71200	International Consultants	-	-	25,000	25,000	*12*
Demonstration				71300	Local Consultants	11,252	22,963	2,985	37,200	*13*

Projects using MRV best practice	*and Environmental Protection*			71400	Contractual Services - Individ	14,600	14,600	14,600	43,800	*14*
				71600	Travel	1,750	1,750	1,500	5,000	*15*
				72100	Contractual Services-Companies	60,000	60,000	60,000	180,000	*16*
				75700	Training, Workshops and Confer	3,000	3,000	3,000	9,000	*17*
					TOTAL Output 3	**90,602**	**102,313**	**107,085**	**300,000**	
Project Management Cost	*Ministry of Natural Resources and Environmental Protection*	**62000**	**GEF**	71400	Contractual Services - Individ	6,000	6,000	6,000	18,000	*18*
				71600	Travel	500	500	500	1,500	*19*
				72500	Office Supplies	801	801	801	2,403	*20*
				74100	Professional Services (Audit)	3,000	-	-	3,000	*21*
				75700	Training, Workshops and Confer	2,000	-	-	2,000	*22*
				74596	Services to projects - GOE for CO	4,300	4,397	4,400	13,097	*23*
					TOTAL Project Management	**16,601**	**11,698**	**11,701**	**40,000**	
					PROJECT TOTAL	**371,803**	**294,711**	**173,486**	**840,000**	

Summary of Funds: [23]

	Amount Year 1	Amount Year 2	Amount Year 3	Total
GEF	$ 371,803	$ 294,711	$ 173,486	$ 840,000
UNDP	$ 106,000	$ 515,000	$ 409,000	$ 1,030,000
Ministry of Energy	$ 1,032,920	$ 1,075,080		$ 2,108,000
Ministry of Natural Resources and Environmental Protection	$ 302,400	$ 327,600		$ 630,000

[23] Summary table should include all financing of all kinds: GEF financing, cofinancing, cash, in-kind, etc...

Ministry of Housing and Utilities	$ 1,442,500	$ 2,485,000		$ 3,927,500
Ministry of Forestry	$ 125,760	$ 136,240		$ 262,000
Green Economy NGO	$ 33,270	$ 48,230	$ 28,280	$ 109,780
TOTAL	**$ 3,412,552**	**$ 4,883,163**	**$ 611,565**	**$ 9,907,280**

Budget note number	Comments
1.	Services of 2 local consultants for:
	- definition of sectors to be covered by GHG mitigation targets, timeline, establish sectoral baseline and targets, as well as national baseline and target (28 working days x $ 150/day);
	- training on model application and use for relevant national stakeholders (62 working days x $ 150/day);
	- presentation and discussion of the finding of scenario analysis and proposed national and sectoral NDC targets to relevant stakeholders (40 working days x $ 150/day);
	- development of a roadmap for NDC implementation, including definition of the sectors to be covered by sectoral targets, proposed and national targets (30 working days x $ 150/day);
	- support of line Ministries in incorporating proposed sectoral NDC targets and mitigation measures in the scope of state sectoral programs, including appropriate allocation from the state budget (18 working days x $ 150/day);
	- regular update to key sectoral stakeholders in Belarus (e.g. Ministry of Energy, Ministry of Agriculture, etc) on the status of international negotiations (60 working days x $ 150/day);
	- preparation of recommendations and roadmap to ensure Belarus's preparedness to create/issue/transfer/acquire/use the Internationally Transferrable Mitigation Obligations (ITMOs) under Article 6 (28 working days x $ 150/day);
	- preparation of roadmaps for introduction of the identified mechanisms and their linking with cooperative approaches under Article 6 of the Paris Agreement (18 working days x $ 150/day);
	- National Stakeholder Consultation Process to discuss the draft legal and regulatory documents and roadmap for their implementation(26 working days x $ 150/day);
	- Preparation of finalized Roadmaps and package of legal and regulatory documents, based upon the Stakeholder consultation process that has been carried out (18 working days x $ 150/day);
2.	Pro rata cost (33%) of part time Chief Technical Advisor (18 months x $2,150/ month); pro rata cost (33%) of Project Manager (36 months x $2,500/ month)
3.	Travel of local consultants for Outcome 1 (including ATKTs, DSA, Terminals) to Bonn, EU
4.	Cost of subcontracts for services described under Activity1.1.1. and Activity 1.2.3.
5.	Costs of printing and publishing information materials for dissemination of the results of Outcome 1
6.	Costs and other training sessions and workshops (incl. inception), events under Outcome 1 (including venue, catering, information materials, etc.)
7	Services of local consultants for:
	- development of roadmap and recommendations on introduction of such systems (111 working days x $ 150/day);
	- preparation of draft national Law on MRV and/or other appropriate policy and regulatory document which would enable and mandate implementation of facility-based and project-based MRVs (97 working days x $ 150/day);
8.	Pro rata cost (33%) of part time Chief Technical Advisor (18 months x $2,150/ month); pro rata cost (33%) of Project Manager (36 months x $2,500/ month)
9.	Cost of subcontracts for services under Activity 2.1.2 and Activity 2.1.3
10.	Office supplies for participants of the seminars.
11.	Costs training sessions and workshops (incl. inception), events under Outcome 2 (including venue, catering, information materials, etc.)
12.	International consultancy fees for carrying out the terminal evaluation ($ 25 000) as per M&E requirements

13.	**Services of 2 local consultants for :**
	- design and elaboration of pilot MRV projects including preparation of feasibility studies (75 working days x $150/day)
	- implementation of pilot projects and monitoring resulting GHG emissions reduction/absorption in line with established MRV methodology and plan (113 working days x $150/day)
	- summarization of findings of the pilot projects in the lessons learnt report and presenting finding to relevant stakeholders(60 working days x $150/day)
14.	**Pro rata cost (34%) of part time Chief Technical Advisor (18 months x $2,150/ month); pro rata cost (34%) of Project Manager (36 months x $2,500/ month)**
15.	**In-country travel of local consultants for Outcome 3**
16.	**Cost of subcontracts for services under Activity 3.1.2 and Activity 3.1.4**
17.	**Costs and other training sessions and workshops (incl. inception), events under Outcome 3 (including venue, catering, information materials, etc.)**
18.	**50% of Administrative and Financial Assistant (AFA) - (36 months x $1,000/ month) - to be shared with EU-funded EU4Cimate project**
19.	**Travel costs associated to PM**
20.	**Office supplies are allocated to initiate the work of the PMU.**
21.	**The project budget includes an annual audit cost US$ 3,000 as per M&E requirements**
22.	**Costs and other training sessions and workshops (incl. inception), events (including venue, catering, information materials, etc.)**
23.	**Direct project costs totaling US$ 13,097 have been included in the project management costs. The calculation of the total direct project cost is given in LOA between the Government of Belarus and the UNDP.**

XI. LEGAL CONTEXT

92. This project document shall be the instrument referred to as such in Article 1 of the Standard Basic Assistance Agreement between the Government of the Republic of Belarus and UNDP, signed on signed on 24 September 1992. All references in the SBAA to "Executing Agency" shall be deemed to refer to "Implementing Partner."
93. This project will be implemented by the Ministry of Environmental Protection and Natural Resources ("Implementing Partner") in accordance with its financial regulations, rules, practices and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply.
94. Any designations on maps or other references employed in this project document do not imply the expression of any opinion whatsoever on the part of UNDP concerning the legal status of any country, territory, city or area or its authorities, or concerning the delimitation of its frontiers or boundaries.

XII. RISK MANAGEMENT

95. Consistent with the Article III of the SBAA, the responsibility for the safety and security of the Implementing Partner and its personnel and property, and of UNDP's property in the Implementing Partner's custody, rests with the Implementing Partner. To this end, the Implementing Partner shall:

    a) put in place an appropriate security plan and maintain the security plan, taking into account the security situation in the country where the project is being carried;
    b) assume all risks and liabilities related to the Implementing Partner's security, and the full implementation of the security plan.

96. UNDP reserves the right to verify whether such a plan is in place, and to suggest modifications to the plan when necessary. Failure to maintain and implement an appropriate security plan as required hereunder shall be deemed a breach of the Implementing Partner's obligations under this Project Document.

97. The Implementing Partner agrees to undertake all reasonable efforts to ensure that no UNDP funds received pursuant to the Project Document are used to provide support to individuals or entities associated with terrorism and that the recipients of any amounts provided by UNDP hereunder do not appear on the list maintained by the Security Council Committee established pursuant to resolution 1267 (1999). The list can be accessed via http://www.un.org/sc/committees/1267/aq_sanctions_list.shtml.

98. Social and environmental sustainability will be enhanced through application of the UNDP Social and Environmental Standards (http://www.undp.org/ses) and related Accountability Mechanism (http://www.undp.org/secu-srm).

99. The Implementing Partner shall: (a) conduct project and programme-related activities in a manner consistent with the UNDP Social and Environmental Standards, (b) implement any management or mitigation plan prepared for the project or programme to comply with such standards, and (c) engage in a constructive and timely manner to address any concerns and complaints raised through the Accountability Mechanism. UNDP will seek to ensure that communities and other project stakeholders are informed of and have access to the Accountability Mechanism.

100. All signatories to the Project Document shall cooperate in good faith with any exercise to evaluate any programme or project-related commitments or compliance with the UNDP Social and Environmental Standards. This includes providing access to project sites, relevant personnel, information, and documentation.

101. The Implementing Partner will take appropriate steps to prevent misuse of funds, fraud or corruption, by its officials, consultants, responsible parties, subcontractors and sub-recipients in implementing the project or using UNDP funds. The Implementing Partner will ensure that its financial management, anti-corruption and anti-fraud policies are in place and enforced for all funding received from or through UNDP.

102. The requirements of the following documents, then in force at the time of signature of the Project Document, apply to the Implementing Partner: (a) UNDP Policy on Fraud and other Corrupt Practices and (b) UNDP Office of Audit and Investigations Investigation Guidelines. The Implementing Partner agrees to the requirements of the above documents, which are an integral part of this Project Document and are available online at www.undp.org.

103. In the event that an investigation is required, UNDP has the obligation to conduct investigations relating to any aspect of UNDP projects and programmes. The Implementing Partner shall provide its full cooperation, including making available personnel, relevant documentation, and granting access to the Implementing Partner's (and its consultants', responsible parties', subcontractors' and sub-recipients') premises, for such purposes at reasonable times and on reasonable conditions as may be required for the purpose of an investigation. Should there be a limitation in meeting this obligation, UNDP shall consult with the Implementing Partner to find a solution.

104. The signatories to this Project Document will promptly inform one another in case of any incidence of inappropriate use of funds, or credible allegation of fraud or corruption with due confidentiality.

105. Where the Implementing Partner becomes aware that a UNDP project or activity, in whole or in part, is the focus of investigation for alleged fraud/corruption, the Implementing Partner will inform the UNDP Resident Representative/Head of Office, who will promptly inform UNDP's Office of Audit and Investigations (OAI). The Implementing Partner shall provide regular updates to the head of UNDP in the country and OAI of the status of, and actions relating to, such investigation.

106. UNDP shall be entitled to a refund from the Implementing Partner of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document. Such amount may be deducted by UNDP from any payment due to the Implementing Partner under this or any other agreement.

107. Where such funds have not been refunded to UNDP, the Implementing Partner agrees that donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities under this Project Document, may seek recourse to the Implementing Partner for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.
108. *Note*: The term "Project Document" as used in this clause shall be deemed to include any relevant subsidiary agreement further to the Project Document, including those with responsible parties, subcontractors and sub-recipients.
109. Each contract issued by the Implementing Partner in connection with this Project Document shall include a provision representing that no fees, gratuities, rebates, gifts, commissions or other payments, other than those shown in the proposal, have been given, received, or promised in connection with the selection process or in contract execution, and that the recipient of funds from the Implementing Partner shall cooperate with any and all investigations and post-payment audits.
110. Should UNDP refer to the relevant national authorities for appropriate legal action any alleged wrongdoing relating to the project, the Government will ensure that the relevant national authorities shall actively investigate the same and take appropriate legal action against all individuals found to have participated in the wrongdoing, recover and return any recovered funds to UNDP. The Implementing Partner shall ensure that all of its obligations set forth under this section entitled "Risk Management" are passed on to each responsible party, subcontractor and sub-recipient and that all the clauses under this section entitled "Risk Management Standard Clauses" are included, *mutatis mutandis*, in all sub-contracts or sub-agreements entered into further to this Project Document.

XIII. MANDATORY ANNEXES

A. Multi-year Workplan

B. GEF Core Indicator

C. Overview of technical consultancies/subcontracts

D. Terms of Reference for key project staff

E. UNDP Social and Environmental and Social Screening Template (SESP) and Environmental and Social Management Plan (ESMP) for moderate and high risk projects

F. Stakeholder Engagement Plan

G. Gender Analysis and Action Plan

H. UNDP Risk Log

I. Provision of UNDP Country Office Services in implementation of the project 'Capacity Building for emission trading and strengthened MRV in the Republic of Belarus'

J. UNDP Project Quality Assurance Report (to be completed in UNDP online corporate planning system by UNDP Country Office)

K. Co-financing letters

L. Results of the capacity assessment of the project implementing partner and HACT micro assessment

ANNEX A. MULTI-YEAR WORKPLAN

WORK PLAN		YEAR 1												YEAR 2												YEAR 3											
		1	2	3	4	5	6	7	8	9	10	11	12	1	2	3	4	5	6	7	8	9	10	11	12	1	2	3	4	5	6	7	8	9	10	11	12
Component 1	**Capacity building for improved NDCs and market-based climate finance mechanisms to support NDCs implementation**																																				
Outcome 1.1	Strengthened capacities for improved NDCs																																				
Activity 1.1.1	Prepare detailed economic and GHG emission model to explore climate change mitigation pathways and their associated costs and impacts for Belarus and its key GHG emitting sectors, and report summarizing the finding of this analysis				X	X	X	X	X	X	X	X	X																								
Activity 1.1.2	Define sectors to be covered by GHG mitigation targets, timeline, establish sectoral baseline and targets, as well as national baseline and target													X	X	X	X	X	X	X	X	X															
Activity 1.1.3	Provide training on model application and use for relevant national stakeholders													X	X	X	X	X	X	X	X	X															
Activity 1.1.4	Present and discuss the finding of scenario analysis and proposed national and sectoral NDC targets to relevant stakeholders																		X	X	X	X	X	X													
Activity 1.1.5	Develop and submit to relevant authorities a roadmap for NDC implementation, including definition of the sectors to be covered by sectoral targets, proposed and national targets																		X	X	X	X	X	X													
Activity 1.1.6	Support line Ministries in incorporating proposed sectoral NDC targets and mitigation measures in the scope of state sectoral programs, including appropriate allocation from the state budget																									X	X	X	X	X	X	X	X	X	X	X	X
Outcome 1.2	Agreed Recommendations and Road Map in place for the design and implementation of the appropriate domestic GHG reduction mechanisms compatible with cooperation approaches under Article 6 of the Paris Agreement																																				
Activity 1.2.1	Provide regular update to key sectoral stakeholders in Belarus (e.g. Ministry of Energy, Ministry of Agriculture, etc) on the status of international negotiations	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X
Activity 1.2.2	Prepare recommendations and roadmap to ensure Belarus's preparedness to create/issue/transfer/acquire/use the Internationally Transferrable Mitigation Obligations (ITMOs) under Article 6						X	X	X	X	X	X	X	X	X	X																					
Activity 1.2.3	Conduct assessment of appropriate domestic mechanisms compatible with established sectoral targets, relevant guidance under the Article 6 of the Paris Agreement and international best practices and approaches and prepare recommendations on the most feasible options						X	X	X	X	X	X	X	X	X	X																					
Activity 1.2.4	Prepare Roadmaps for introduction of the identified mechanisms and their linking with cooperative approaches under Article 6 of the Paris Agreement																																				
Activity 1.2.5	National Stakeholder Consultation Process to discuss the draft legal and regulatory documents and roadmap for their implementation																																				
Activity 1.2.6	Prepare finalized Roadmaps and package of legal and regulatory documents, based upon the Stakeholder consultation process that has been carried out																X	X	X	X	X	X	X	X													
Component 2	**Strengthened GHG accounting capacity and enhanced system of MRV**																																				
Outcome 2.1	Enhanced and strengthened System of MRV																																				
Activity 2.1.1	For the sectors where facility-based MRV system should be applied develop roadmap and recommendations on introduction of such systems			X	X	X																															
Activity 2.1.2	Develop national methodology and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions/absorption from abatement measures in AFOLU sector						X	X	X																												
Activity 2.1.3	Develop national methodology and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions from GHG abatement measures in municipal sector									X	X	X	X	X	X	X	X	X	X	X	X																
Activity 2.1.4	Make assessment of the most appropriate country for Belarussian Government officials and decision makers to visit for a study tour related to emissions trading and MRV.																X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X
Component 3	**Demonstration Projects using MRV best practice**																																				
Outcome 3.1	Four small scale MRV projects identified, designed, financed and implemented																																				
Activity 3.1.1	Design and elaboration of pilot MRV projects including preparation of feasibility studies				X	X	X	X	X	X	X																										
Activity 3.1.2	Development of methodologies to estimate baseline and project emission reduction and prepare MRV plan for identified pilot projects											X	X	X	X																						
Activity 3.1.3	Implementation of pilot projects and monitoring resulting GHG emissions reduction/absorption in line with established MRV methodology and plan															X	X	X	X	X	X	X	X	X	X	X	X	X	X	X							
Activity 3.1.4	Independent verification and confirmation of GHG emission results of the pilot projects																														X	X					
Activity 3.1.5	Preparation of certificates relevant to the international requirements for their placing on carbon markets																														X						
Activity 3.1.6	Summarizing findings of the pilot projects in the lessons learnt report and presenting finding to relevant stakeholders																																X	X	X	X	X
Activity 3.1.7	Undertaking independent terminal evaluation of the project																																				
PMC	**Project Management Cost**																																				
	Inception workshop	X	X																																		
	Project AFA (50% - to be shared with other project)	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X
	Direct Project Costs (based on priced list and actual services provided)	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X
	Annual audit cost													X												X											X
	Travel costs						X	X											X	X											X	X					
	Office costs (IT, communication, office supplies)	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X	X
TOTAL Project Budget																																					

Yellow cells	M&E and KM activities
Blue cells	Technical assistance related activities
Pink cells	Project Management

Interim Offline Reporting Template for GEF-7 Core Indicators
13 Aug 2018 / VERSION 04

Core Indicator 1: Terrestrial protected areas created or under improved management for conservation and sustainable use (hectares)

Core Indicator 2: Marine protected areas created or under improved management for conservation and sustainable use (hectares)

Core Indicator 3: Area of land restored (hectares)

Core Indicator 4: Area of landscapes under improved practices (hectares; excluding protected areas)

Core Indicator 5: Area of marine habitat under improved practices to benefit biodiversity (hectares; excluding protected areas)

Core Indicator 6: Greenhouse gas emissions mitigated (metric tons of carbon dioxide equivalent)

Core Indicator 7: Number of shared water ecosystems (fresh or marine) under new or improved cooperative management

Core Indicator 8: Globally over-exploited fisheries moved to more sustainable levels (metric tons)

Core Indicator 9: Reduction, disposal/destruction, phase out, elimination and avoidance of chemicals of global concern and their waste in the environment and in processes, materials, and products (metric tons of toxic chemicals reduced)

Core Indicator 10: Reduction, avoidance of emissions of POPS to air from point and non-point sources (gTEQ)

Core Indicator 11: Number of direct beneficiaries disaggregated by gender as co-benefit of GEF investment

Core Indicator 1: Terrestrial protected areas created or under improved management for conservation and sustainable use (hectares)

Not Applicable

Core Indicator 2: Marine protected areas created or under improved management for conservation and sustainable use (hectares)

Not Applicable

Core Indicator 3: Area of land restored (hectares)

Not Applicable

Core Indicator 4: Area of landscapes under improved practices (hectares; excluding protected areas)

Not Applicable

Core Indicator 5: Area of marine habitat under improved practices to benefit biodiversity (hectares; excluding protected areas)

Not Applicable

Core Indicator 6: Greenhouse gas emissions mitigated (metric tons of carbon dioxide equivalent)

GHG emission type	Metic tons CO_2-eq (expected at PIF)	Metic tons CO_2-eq (expected at CEO ER)	Metic tons CO_2-eq (expected at MTR)	Metic tons CO_2-eq (expected at TE)
Lifetime direct project GHG emissions mitigated	40,500	40,500	N/a	40,500
Lifetime direct post-project emissions mitigated				
Lifetime indirect GHG emissions mitigated				

Figure at a given stage must be the sum of all figures reported under the first two sub-indicators (6.1 and 6.2) for that stage.

6.1 Carbon sequestered or emissions avoided in the sector of Agriculture, Forestry and Other Land Use

GHG emission type	Ha (expected at PIF)	Metic tons CO_2-eq (baseline at PIF)	Ha (expected at CEO ER)	Metic tons CO_2-eq (baseline at CEO ER)	Ha (expected at MTR)	Metic tons CO_2-eq (above baseline at MTR)	Ha (expected at TE)	Metic tons CO_2-eq (above baseline at TE)
Lifetime direct project GHG emissions mitigated	30	18,000	230	20,500	N/a	N/a	230	20,500
Lifetime direct post-project emissions mitigated								
Lifetime indirect GHG emissions mitigated								
Anticipated year	---		---		---		---	

6.2 Emissions avoided

GHG emission type	Metic tons CO_2-eq (baseline at PIF)	Metic tons CO_2-eq (baseline at CEO ER)	Metic tons CO_2-eq (above baseline at MTR)	Metic tons CO_2-eq (above baseline at TE)
Lifetime direct project GHG emissions mitigated	22,500	20,000	N/a	20,000
Lifetime direct post-project emissions mitigated				
Lifetime indirect GHG emissions mitigated				
Anticipated year				

6.3 Energy saved (megajoules)

Type of Intervention	MJ (expected at PIF)	MJ (expected at CEO Endorsement)	MJ (achieved at MTR)	MJ (achieved at TE)
Energy efficiency in buildings and heat supply	N/a	22,106	N/a	22,106
Energy efficiency in public lighting	N/a	32,763	N/a	32,763

6.4 Increase in installed renewable energy capacity per technology (megawatts).

N/A

Core Indicator 7: Number of shared water ecosystems (fresh or marine) under new or improved cooperative management

Not Applicable

Core Indicator 8: Globally over-exploited fisheries moved to more sustainable levels (metric tons)

Not Applicable

Core Indicator 9: Reduction, disposal/destruction, phase out, elimination and avoidance of chemicals of global concern and their waste in the environment and in processes, materials, and products (metric tons of toxic chemicals reduced)

Not Applicable

Core Indicator 10: Reduction, avoidance of emissions of POPS to air from point and non-point sources (gTEQ)

Not Applicable

Core Indicator 11: Number of direct beneficiaries disaggregated by gender as co-benefit of GEF investment

Not Applicable

ANNEX C. OVERVIEW OF TECHNICAL CONSULTANCIES AND CONTRACTS

Consultant	Time Input	Tasks, Inputs and Outputs
For Project Management / Monitoring & Evaluation		
Local / National contracting		
Project Assistant	*156 weeks / over 3 years*	*The Project Assistant (PA) will assist the Project Manager in day-to-day management and oversight of project activities, as well as in matters related to M&E and knowledge resources management. See the full TOR in Annex D for details.*
Project Manager	*156 weeks / over 3 years*	*The Project Manager (PM) will be responsible for overall project management and maintain close collaboration with other agencies providing co-financing. See the full TOR in Annex D for details.*
International contract		
Chief Technical Advisor	*60 days over 3 years*	*The Chief Technical Advisor (CTA) will support PM in all aspects of project implementation and achieving expected results. See the full TOR in Annex D for details.*
Independent Evaluation – International Expert	*25 days in year 3*	*Independent terminal evaluation will be conducted in the end of 3-year project duration in line with respective guidelines and requirements of UNDP-GEF*
Independent Evaluation – National Expert	*25 days in year 3*	*National Expert for Independent terminal evaluation will be conducted in the end of 3-year project duration in line with respective guidelines and requirements of UNDP-GEF*
For Technical Assistance		
National contracting		
Lead NDC expert	*7 weeks/over 1 year*	*Provide technical inpits in the process of NDC update under Activities 1.1.1 – 1.1.6*
Market-based climate finance mechanism expert	*14 weeks/over 2 years*	*Conduct assessment of appropriate domestic mechanisms compatible with established sectoral targets, relevant guidance under the Article 6 of the Paris Agreement and international best practices and approaches and prepare recommendations on the most feasible options, as well as roadmap for their implementation under Activities 1.2.1 -1.2.5*
MRV expert: AFOLU	*28 weeks over 3 years*	*Provide technical inpits to all envisaged activities related to development and aplication of MRV system in AFOLU sector under Components 2 and 3*
MRV expert: urban/municipal sector	*28 weeks over 3 years*	*Provide technical inpits to all envisaged activities related to development and aplication of MRV system in urban/municipal sector under Components 2 and 3*
International / Regional and global contracting		
Economic and GHG model for updated NDC, training and capacity buildings	*24 weeks over 2 years*	*Prepare detailed economic and GHG emission model to explore climate change mitigation pathways and their associated costs and impacts for Belarus and its key GHG emitting sectors, and report summarizing the finding of this analysis*
Methodology for AFOLU	*24 weeks/over 3 year*	*Develop national methodology and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions/absorption from abatement measures in AFOLU sector and its pilot application*
Methodology for urban/municipal sector MRV	*24 weeks/over 3 year*	*Develop national methodology and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions/absorption from abatement measures in urban sector sector and its application for pilot projects*

Consultant	Time Input	Tasks, Inputs and Outputs
Independent verification of methodologies and results of pilot project	*6 weeks/ over 3 year*	*Conduct independent validation of the developed methodology and verification of the achieved GHG emission reduction results*

TERMS OF REFERENCE FOR THE PROJECT MANAGER

Duty Station: Minsk, Belarus
Duration of Assignment: 1 year with possible extension (full time)

Scope of Assignment:

Background
The Project Manager assumes overall responsibility for the successful implementation of all project activities and the achievement of planned project outputs. He/she reports directly to the Ministry of Natural Resources and Environmental Protection of the Republic of Belarus and the UNDP CO.

The objective of the assignment is to ensure effective project management and monitoring.

Duties

- Supervise and coordinate the Project to ensure its results are in accordance with the Project Document and the rules and procedures established in the UNDP Programming Manual and national rules and procedures;
- Supervise and coordinate the work of the Project Management Unit, subcontracted individuals and legal entities;
- Assume primary responsibility for the daily project management both organizational and substantive matters, budgeting, planning and general monitoring of the Project;
- Prepare detailed annual work plans, to be approved by National Project Coordinator and the UNDP Resident Representative, ensure adherence thereto;
- Prepare terms of reference for national consultants and subcontractors in line with relevant national and UNDP procedures;
- Prepare annual project reports (APR), Project implementation reports (PIR) as well as any other reports requested by the MNREP or UNDP;
- Monitor the expenditures, commitments and balance of funds under the project budget lines;
- Assume overall responsibility for meeting financial delivery targets set out in the agreed annual work plans, reporting on project funds and related record keeping;
- Guide and coordinate the work of national and international consultants and subcontractors and oversee its compliance with the agreed work plan;
- Organize and supervise workshops and trainings needed during the Project;
- Liaise with relevant ministries, national institutes and other relevant institutions in order to involve their staff in project activities as necessary and gather and disseminate information relevant to the Project;
- Coordinate project activities with other related technical assistance projects\programs in Belarus;
- Undertake any other actions related to the Project as requested by the MNREP, UNDP or the National Project Coordinator.

Qualifications:

– University degree in environmental management, energy, sustainable development, public administration, or management; advanced degree or academic training in these areas would be considered an asset;
– Previous experience in the area of climate changes policies and climate finance mechanisms;
– Working knowledge of national and UNDP rules and regulations is an asset;
– At least 2 years of relevant professional work experience in international project management;
– Computer literacy;
– Excellent written and spoken English, Belarusian and\or Russian are required.

TERMS OF REFERENCE FOR THE CHIEF TECHNICAL ADVISOR

Duty Station: Minsk, Belarus
Duration of Assignment: 1 year with possible extension (full time)

Scope of Assignment:

Background
The Chief Technical Advisor assumes overall responsibility for the successful implementation of the Project on the expert and technical matters and the achievement of planned project outputs. He/she works under direct supervision of the PM and in close collaboration with the MNREP.

The objective of this assignment is to provide effective technical, expert and organizational support to ensure successive implementation of the Project with delivery of all the intended outcomes and outputs.

Duties

- Undertake primary coordination of the activities under the components 1, 2 and 3 including drafting ToRs for all subcontractors and primary coordination and monitoring of contracts conducted under these components;
- Lead and provide expert guidance and support to national and international consultants and companies hired under the project;
- Conduct regular contacts on the project matters with the MNREP, stakeholders and target groups;
- Monitor the process of preparation of the documents required for the implementation measures elaborated under the Project and collaboration with the relevant stakeholders;
- Supporting consultants in drafting relevant technical and analytical reports and provide expert review of such reports;
- Participation in the project workshops, as well as in Project Board meetings as speaker\moderator\rapporteur;
- Take the responsibility for knowledge management in the capacity building process;
- Support planning and budgeting, as well as preparation of the annual work plans ;
- Participate in preparation of the annual project implementation reports (PIR);
- Undertake any other actions related to the Project as requested by the PM.

Qualifications:

- University degree in fields environmental sciences or related fields;
- Supplementary vocational training degree, master's degree, scientific training degree or a certificate of competence is an advantage;
- Knowledge of the international climate change policy framework requirements and the experience with climate-finance mechanisms;
- Experience in the development of plans / measures / activities in the field of climate change would be considered an asset;
- At least 15 years of relevant professional work experience in international project management in the field of climate change and climate finance;
- Computer literacy;
- Excellent written and spoken English is required, Belarusian/Russian is an asset.

TERMS OF REFERENCE FOR THE ADMINISTRATIVE/ FINANCIAL ASSISTANT

Duty Station: Minsk, Belarus
Duration of Assignment: 1 year with possible extension (full time)

Scope of Assignment:

Background
The Administrative/ Financial Assistant (AFA) will be directly responsible for the overall financial management of the Project. The AFA will works under direct supervision of the PM and report to the PM.
The AFA will be responsible for supporting the PM in meeting government obligations under the Project, under the national implementation modality (NIM)
Duties

Administrative Duties and Responsibilities

- Monitor project budgets and financial expenditures;
- Assist in recruitment processes;
- Advise all project counterparts on applicable financial procedures and ensures their proper implementation;
- Contribute to the preparation and implementation of progress and financial reports;
- Support the preparations of project work-plans, budgets and operational and financial planning processes;
- Assist in the preparation of payments requests for operational expenses, salaries, insurance, etc. against project budgets and work plans;
- Work closely with financial counterparts on payment requests;
- Maintain data on co-financing commitments to the Project;
- Perform other duties as required.

Finance Duties and Responsibilities

- Collect, register and maintain all information on project activities;
- Contribute to the preparation and implementation of progress reports;
- Advise all project counterparts on applicable administrative procedures and ensures their proper implementation;
- Assist in procurement and recruitment processes;
- Receive, screen and distribute correspondence and attach necessary background information;
- Prepare routine correspondence and memoranda for Project Managers signature;
- Assist in logistical organization of meetings, training and workshops;
- Prepare agendas and arrange field visits, appointments and meetings both internal and external related to the project activities and write minutes from the meetings;
- Maintain a project filing system;
- Maintain records over project equipment inventory.

Qualifications and experience

- A post-school qualification (diploma, or equivalent), preferably in book-keeping (or equivalent);
- At least 5 years of relevant financial management experience;
- Work experience in UNDP-GEF projects under the national implementation modality is highly desirable;
- Demonstrable ability to maintain effective communications with different stakeholders, and arrange stakeholder meetings and/or workshops;
- Demonstrable ability to administer project budgets, and track financial expenditure;
- Excellent computer skills, in particular mastery of all applications of the MS Office package;
- Excellent written communication skills; and
- A good working knowledge of Russian is a requirement, while knowledge of English will be an advantage.

ANNEX E. UNDP SOCIAL AND ENVIRONMENTAL AND SOCIAL SCREENING (SESP)

Project Information

Project Information	
1. Project Title	Capacity Building for Emissions Trading and strengthened MRV in the Republic of Belarus
2. Project Number	00107084
3. Location (Global/Region/Country)	Republic of Belarus

Part A. Integrating Overarching Principles to Strengthen Social and Environmental Sustainability

QUESTION 1: How Does the Project Integrate the Overarching Principles in order to Strengthen Social and Environmental Sustainability?
Briefly describe in the space below how the Project mainstreams the human-rights based approach
The project is not focused on mainstreaming a human rights based approach.
Briefly describe in the space below how the Project is likely to improve gender equality and women's empowerment
The project entitled "Capacity Building for Emissions Trading and MRV for the Republic of Belarus" aims to assist the Republic of Belarus with developing a national emissions trading scheme as well as to develop policies, institutional frameworks and national MRV systems in order that they are strengthened and harmonized to mainstream national mitigation policies and targets in the context of NDCs for the Republic of Belarus. The process will be informed by NDC mitigation sector analyses, which will take into account gender considerations fully and comprehensively, as further elaborated in the prepared Gender Action Plan. The process will be overseen by a technical committee led by the inter-ministerial working group on NDCs and this committee will be constituted in such a way as to ensure gender balance.
Briefly describe in the space below how the Project mainstreams environmental sustainability
The **sustainability of this project** can be found in the fact that key experts and stakeholders will have been trained in order to continue their work related to market-based climate finance mechanisms, NDC preparation and implementation of a comprehensive MRV framework for the Republic of Belarus.

Part B. Identifying and Managing Social and Environmental <u>Risks</u>

QUESTION 2: What are the Potential Social	**QUESTION 3: What is the level of significance of the potential**	**QUESTION 6: What social and environmental assessment**

and Environmental Risks? *Note: Describe briefly potential social and environmental risks identified in Attachment 1 – Risk Screening Checklist (based on any "Yes" responses). If no risks have been identified in Attachment 1 then note "No Risks Identified" and skip to Question 4 and Select "Low Risk". Questions 5 and 6 not required for Low Risk Projects.*	**social and environmental risks?** *Note: Respond to Questions 4 and 5 below before proceeding to Question 6*			**and management measures have been conducted and/or are required to address potential risks (for Risks with Moderate and High Significance)?**
Risk Description	***Impact and Probability (1-5)***	***Significance (Low, Moderate, High)***	***Comments***	***Description of assessment and management measures as reflected in the Project design. If ESIA or SESA is required note that the assessment should consider all potential impacts and risks.***
No risks identified.	I = P =			
	I = P =			
	I = P =			
	I = P =			
	QUESTION 4: What is the overall Project risk categorization?			
	Select one (see SESP for guidance)			**Comments**
	Low Risk		**X**	
	Moderate Risk		☐	
	High Risk		☐	

	QUESTION 5: Based on the identified risks and risk categorization, what requirements of the SES are relevant?		
	Check all that apply		**Comments**
	Principle 1: Human Rights	☐	
	Principle 2: Gender Equality and Women's Empowerment	☐	
	1. Biodiversity Conservation and Natural Resource Management	☐	
	2. Climate Change Mitigation and Adaptation	☐	
	3. Community Health, Safety and Working Conditions	☐	
	4. Cultural Heritage	☐	
	5. Displacement and Resettlement	☐	
	6. Indigenous Peoples	☐	
	7. Pollution Prevention and Resource Efficiency	☐	

Final Sign Off

Signature	***Date***	***Description***
QA Assessor Igar Tchoulba Programme Officer	30 August 2018	UNDP staff member responsible for the Project, typically a UNDP Programme Officer. Final signature confirms they have "checked" to ensure that the SESP is adequately conducted.
QA Approver	30 August 2018	UNDP senior manager, typically the UNDP Deputy Country Director (DCD), Country Director (CD), Deputy Resident Representative (DRR), or Resident Representative (RR). The QA Approver cannot

Zachary Taylor, Deputy Resident Representative		also be the QA Assessor. Final signature confirms they have “cleared” the SESP prior to submittal to the PAC.
PAC Chair		UNDP chair of the PAC. In some cases PAC Chair may also be the QA Approver. Final signature confirms that the SESP was considered as part of the project appraisal and considered in recommendations of the PAC.

SESP Attachment 1. Social and Environmental Risk Screening Checklist

Checklist Potential Social and Environmental Risks	
Principles 1: Human Rights	**Answer (Yes/No)**
1. Could the Project lead to adverse impacts on enjoyment of the human rights (civil, political, economic, social or cultural) of the affected population and particularly of marginalized groups?	No
2. Is there a likelihood that the Project would have inequitable or discriminatory adverse impacts on affected populations, particularly people living in poverty or marginalized or excluded individuals or groups? [24]	No
3. Could the Project potentially restrict availability, quality of and access to resources or basic services, in particular to marginalized individuals or groups?	No
4. Is there a likelihood that the Project would exclude any potentially affected stakeholders, in particular marginalized groups, from fully participating in decisions that may affect them?	No
5. Is there a risk that duty-bearers do not have the capacity to meet their obligations in the Project?	No
6. Is there a risk that rights-holders do not have the capacity to claim their rights?	No
7. Have local communities or individuals, given the opportunity, raised human rights concerns regarding the Project during the stakeholder engagement process?	No
8. Is there a risk that the Project would exacerbate conflicts among and/or the risk of violence to project-affected communities and individuals?	No
Principle 2: Gender Equality and Women's Empowerment	
1. Is there a likelihood that the proposed Project would have adverse impacts on gender equality and/or the situation of women and girls?	No
2. Would the Project potentially reproduce discriminations against women based on gender, especially regarding participation in design and implementation or access to opportunities and benefits?	No
3. Have women's groups/leaders raised gender equality concerns regarding the Project during the stakeholder engagement process and has this been included in the overall Project proposal and in the risk assessment?	No
4. Would the Project potentially limit women's ability to use, develop and protect natural resources, taking into account different roles and positions of women and men in accessing environmental goods and services? *For example, activities that could lead to natural resources degradation or depletion in communities who depend on these resources for their livelihoods and well being*	No
Principle 3: Environmental Sustainability: Screening questions regarding environmental risks are encompassed by the specific Standard-related questions below	
Standard 1: Biodiversity Conservation and Sustainable Natural Resource Management	
1.1 Would the Project potentially cause adverse impacts to habitats (e.g. modified, natural, and critical habitats) and/or ecosystems and ecosystem services? *For example, through habitat loss, conversion or degradation, fragmentation, hydrological changes*	No
1.2 Are any Project activities proposed within or adjacent to critical habitats and/or environmentally sensitive areas, including legally protected areas (e.g. nature reserve, national park), areas proposed for protection, or recognized as such by authoritative sources and/or indigenous peoples or local communities?	No
1.3 Does the Project involve changes to the use of lands and resources that may have adverse impacts on habitats, ecosystems, and/or livelihoods? (Note: if restrictions and/or limitations of access to lands would apply, refer to Standard 5)	No
1.4 Would Project activities pose risks to endangered species?	No
1.5 Would the Project pose a risk of introducing invasive alien species?	No
1.6 Does the Project involve harvesting of natural forests, plantation development, or reforestation?	No
1.7 Does the Project involve the production and/or harvesting of fish populations or other aquatic species?	No
1.8 Does the Project involve significant extraction, diversion or containment of surface or ground water? *For example, construction of dams, reservoirs, river basin developments, groundwater extraction*	No
1.9 Does the Project involve utilization of genetic resources? (e.g. collection and/or harvesting, commercial	No

[24] Prohibited grounds of discrimination include race, ethnicity, gender, age, language, disability, sexual orientation, religion, political or other opinion, national or social or geographical origin, property, birth or other status including as an indigenous person or as a member of a minority. References to "women and men" or similar is understood to include women and men, boys and girls, and other groups discriminated against based on their gender identities, such as transgender people and transsexuals.

development)	
1.10 Would the Project generate potential adverse transboundary or global environmental concerns?	No
1.11 Would the Project result in secondary or consequential development activities which could lead to adverse social and environmental effects, or would it generate cumulative impacts with other known existing or planned activities in the area? *For example, a new road through forested lands will generate direct environmental and social impacts (e.g. felling of trees, earthworks, potential relocation of inhabitants). The new road may also facilitate encroachment on lands by illegal settlers or generate unplanned commercial development along the route, potentially in sensitive areas. These are indirect, secondary, or induced impacts that need to be considered. Also, if similar developments in the same forested area are planned, then cumulative impacts of multiple activities (even if not part of the same Project) need to be considered.*	No
Standard 2: Climate Change Mitigation and Adaptation	
2.1 Will the proposed Project result in significant[25] greenhouse gas emissions or may exacerbate climate change?	No
2.2 Would the potential outcomes of the Project be sensitive or vulnerable to potential impacts of climate change?	No
2.3 Is the proposed Project likely to directly or indirectly increase social and environmental vulnerability to climate change now or in the future (also known as maladaptive practices)? *For example, changes to land use planning may encourage further development of floodplains, potentially increasing the population's vulnerability to climate change, specifically flooding*	No
Standard 3: Community Health, Safety and Working Conditions	
3.1 Would elements of Project construction, operation, or decommissioning pose potential safety risks to local communities?	No
3.2 Would the Project pose potential risks to community health and safety due to the transport, storage, and use and/or disposal of hazardous or dangerous materials (e.g. explosives, fuel and other chemicals during construction and operation)?	No
3.3 Does the Project involve large-scale infrastructure development (e.g. dams, roads, buildings)?	No
3.4 Would failure of structural elements of the Project pose risks to communities? (e.g. collapse of buildings or infrastructure)	No
3.5 Would the proposed Project be susceptible to or lead to increased vulnerability to earthquakes, subsidence, landslides, erosion, flooding or extreme climatic conditions?	No
3.6 Would the Project result in potential increased health risks (e.g. from water-borne or other vector-borne diseases or communicable infections such as HIV/AIDS)?	No
3.7 Does the Project pose potential risks and vulnerabilities related to occupational health and safety due to physical, chemical, biological, and radiological hazards during Project construction, operation, or decommissioning?	No
3.8 Does the Project involve support for employment or livelihoods that may fail to comply with national and international labor standards (i.e. principles and standards of ILO fundamental conventions)?	No
3.9 Does the Project engage security personnel that may pose a potential risk to health and safety of communities and/or individuals (e.g. due to a lack of adequate training or accountability)?	No
Standard 4: Cultural Heritage	
4.1 Will the proposed Project result in interventions that would potentially adversely impact sites, structures, or objects with historical, cultural, artistic, traditional or religious values or intangible forms of culture (e.g. knowledge, innovations, practices)? (Note: Projects intended to protect and conserve Cultural Heritage may also have inadvertent adverse impacts)	No
4.2 Does the Project propose utilizing tangible and/or intangible forms of cultural heritage for commercial or other purposes?	No
Standard 5: Displacement and Resettlement	

[25] In regards to CO_2, 'significant emissions' corresponds generally to more than 25,000 tons per year (from both direct and indirect sources). [The Guidance Note on Climate Change Mitigation and Adaptation provides additional information on GHG emissions.]

5.1 Would the Project potentially involve temporary or permanent and full or partial physical displacement?	No
5.2 Would the Project possibly result in economic displacement (e.g. loss of assets or access to resources due to land acquisition or access restrictions – even in the absence of physical relocation)?	No
5.3 Is there a risk that the Project would lead to forced evictions?[26]	No
5.4 Would the proposed Project possibly affect land tenure arrangements and/or community based property rights/customary rights to land, territories and/or resources?	No
Standard 6: Indigenous Peoples	
6.1 Are indigenous peoples present in the Project area (including Project area of influence)?	No
6.2 Is it likely that the Project or portions of the Project will be located on lands and territories claimed by indigenous peoples?	No
6.3 Would the proposed Project potentially affect the human rights, lands, natural resources, territories, and traditional livelihoods of indigenous peoples (regardless of whether indigenous peoples possess the legal titles to such areas, whether the Project is located within or outside of the lands and territories inhabited by the affected peoples, or whether the indigenous peoples are recognized as indigenous peoples by the country in question)? *If the answer to the screening question 6.3 is "yes" the potential risk impacts are considered potentially severe and/or critical and the Project would be categorized as either Moderate or High Risk.*	No
6.4 Has there been an absence of culturally appropriate consultations carried out with the objective of achieving FPIC on matters that may affect the rights and interests, lands, resources, territories and traditional livelihoods of the indigenous peoples concerned?	No
6.5 Does the proposed Project involve the utilization and/or commercial development of natural resources on lands and territories claimed by indigenous peoples?	No
6.6 Is there a potential for forced eviction or the whole or partial physical or economic displacement of indigenous peoples, including through access restrictions to lands, territories, and resources?	No
6.7 Would the Project adversely affect the development priorities of indigenous peoples as defined by them?	No
6.8 Would the Project potentially affect the physical and cultural survival of indigenous peoples?	No
6.9 Would the Project potentially affect the Cultural Heritage of indigenous peoples, including through the commercialization or use of their traditional knowledge and practices?	No
Standard 7: Pollution Prevention and Resource Efficiency	
7.1 Would the Project potentially result in the release of pollutants to the environment due to routine or non-routine circumstances with the potential for adverse local, regional, and/or transboundary impacts?	No
7.2 Would the proposed Project potentially result in the generation of waste (both hazardous and non-hazardous)?	No
7.3 Will the proposed Project potentially involve the manufacture, trade, release, and/or use of hazardous chemicals and/or materials? Does the Project propose use of chemicals or materials subject to international bans or phase-outs? *For example, DDT, PCBs and other chemicals listed in international conventions such as the Stockholm Conventions on Persistent Organic Pollutants or the Montreal Protocol*	No
7.4 Will the proposed Project involve the application of pesticides that may have a negative effect on the environment or human health?	No
7.5 Does the Project include activities that require significant consumption of raw materials, energy, and/or water?	No

[26] Forced evictions include acts and/or omissions involving the coerced or involuntary displacement of individuals, groups, or communities from homes and/or lands and common property resources that were occupied or depended upon, thus eliminating the ability of an individual, group, or community to reside or work in a particular dwelling, residence, or location without the provision of, and access to, appropriate forms of legal or other protections.

Stakeholder	Mandate	Role in the Project
Ministry of Natural Resources and Environment	Responsible for development and implementation of national policy in climate change, both in mitigation and adaptation. It is authorised to develop and implement national climate change programmes and national MRV system for GHG emissions and co-ordinate its implementation with other governmental agencies	National Implementing Partner of the project: lead and coordinate on all project components, including ensuring relevant inputs and co-financing from project partners.
Ministry of Economy	In charge of development and implementation of national sustainable development strategy and national SDG framework, which, inter alia, include climate change targets and indicators. It is also the key agency in charge of investment promotion and coordination of international financial and development assistance	Key partner for Component 1: update and strengthening of NDC, including expanded sectoral coverage
Ministry of Energy	Responsible for developing and implementing national energy development programmes. Operates national power generation company Belenergo, as well as BelTopEnergo, state company in charge of peatland development and restoration	Key partner in implementing Component 2 of the project with respect to MRV set-up for "Energy" sector, as well as one of the key partners for Component 3 on pilot EE and peatland restoration project
Ministry of Forestry	Responsible for developing and implementing national forestry sector programmes and preparing forestry inventory	One of the key partners for Component 3 on pilot sustainable forest management project
Ministry of Construction and Architecture	Responsible for the development and implementation of the national programs to create conditions for citizens to meet their need for affordable and comfortable dwellings	Key partner for implementation of the Component 2 of the project with respect to MRV set up for the Residential Buildings sector, as well as one of the key partners for Component 3 for the pilot project on energy efficiency and renewable energy in buildings
Ministry of Housing and Utilities	Responsible for development and implementation of the national programs to ensure comfortable living conditions and enabling environment of living with reduction of the cost of housing and communal services	One of the key partners for Component 3 with respect to the pilot project on energy-efficient public lighting and efficiency in heat supply systems
National Academy of Sciences: Institute of Nature Management	Research in the area of natural resource management, in particular on peatland restoration and eco-system-based GHG emission accounting	Partner on Component 2: design of appropriate MRV approaches and methodologies for AFOLU sector, as well as on Component 3 on AFOLU pilot MRVs
Partner Municipalities	Development and implementation of the Sustainable Energy Action Plans (SEAPs) and other appropriate urban mitigation actions	Partners for design and implementation of pilot MRVs in urban sectors under Component 3

I. Introduction

This assessment aims to provide an overview of the gender situation in Belarus, identify gender issues that may be relevant to the project, and to examine potential gender mainstreaming opportunities. The assessment was based on available data from studies conducted by the Government of Belarus, donor agencies, and multilateral development banks.

II. General gender context

Belarus is ranked high on the OECD "gender index". It has high level of female human development indicators and gender-neutral legislation. In particular, Belarusian women are more educated than men, have a high level of labor force participation, and are represented in politics.

Belarus became one of 27 countries in the world that achieved the goal of the women's participation in the decision making process. Fifty four women out of 174 delegates of both Chambers were selected to the National Assembly in 2012; this indicator was achieved thanks to the introduction of a quota for women.

In spite of their higher educational level, women are worse off than men in economic opportunities and earnings. In particular, women on average earn less than men, are less likely to be represented at the top levels in politics and public administration

There is a lack of regular, detailed gender disaggregated statistics in Belarus. Existing sources of gender statistics provided sporadic information and are not regularly updated.

There is a very high level of structural segregation in the labor market in Belarus. Women are concentrated in traditional female dominated sectors, such as health and education, whereas in the priority NDC sectors, share of women in total work force is less than 50%, i.e. in forestry - 31%, in agriculture – 41%, in municipal (housing and communal) services – 36%. On other side, as beneficiaries of products and services from these sectors, women's role is more pronounced.

III. Legal and Administrative Framework Protecting Women and Promoting Gender Equality

Belarusian Constitution declares that all citizens «Principles of equality and non-discrimination before the law in family relations, educational, professional, social and political, cultural, and other spheres" are stated in the Constitution (Art. 22, 32, 42), the Family and Marriage Code (Art. 20), and the Labor Code (Art. 14, 19). Other legal documents of Belarus are gender neutral. Thus, there is a legal and regulatory base where gender equality is fixed, but it doesn't contain mechanisms of real protection of these rights in case of their violation.

Belarus has signed and ratified a set of basic UN documents aimed at protection of women's interests and achievement of gender equality: Convention on the elimination of all forms of discrimination against women (CEDAW), Additional Protocol to this Convention (2004); Declaration of IV World conference on women (Beijing, 1995), United Nations Millennium Declaration. International commitments of Belarus suggest that national gender policy is framed by Belarusian state and the state defines gender equality as one of its priorities.

National action plans to achieve gender equality serve as the main legal instrument of gender policy. Coordination body in the sphere of gender equality is the National Council on gender policy at the Council of Ministers of Belarus. In the Ministry of labor and social protection there is a department of population, gender and family policy. Local Executive Committees have departments of targeted social assistance and gender issues. Despite the presence of all these institutions and tools in Belarus, gender approach is not used while developing state plans and programs, gender analysis of taken decisions is not used either.

IV. Gender Issues in Climate change

Climate change is not only one of the greatest environmental and development challenges facing the world today, it is one that will have critical impacts on human rights and inequalities, including gender inequality. At the Climate Change Conference in Marrakesh (COP22), Parties to the UN Framework Convention on Climate Change (UNFCCC) reiterated their commitment to mainstreaming gender in climate action and the UNFCCC process, providing substantial instructions in a stand-alone decision on gender.

The primary objective of gender analysis in the context of the proposed project is to understand how women and men are affected by the problem that the project will address, i.e. insufficient capacities in Belarus to implement market-based climate finance mechanisms. A secondary objective is to identify opportunities when women, in particular, can act as agents of change, therefore improving the overall effectiveness of climate action. To help ensure that pilot MRV projects under Component 3 undertake such gender assessment, Table below provides specific information to consider when designing pilot MRV systems.

MRV Pilot	Proposed MRV indicators	Capacities for Change: women's role in a project
EE in buildings	• Share and number of women – building occupants • Impacts women/men are experiencing due to inefficient patterns of resource use in buildings (e.g. underheating)	• Women's role in building management
EE in public lighting	• Share and number of women –users of public lighting system • Impact women/men are experiencing due to inefficient patterns of resource use in lighting (e.g. insecurity)	• Women's role in the management of public lighting system
AFOLU	• Share and number of women among forest/ land-users • Impact women/men are experiencing due to inefficient patterns of forest/land-use	• Women's role in the community/household with regard to forest/land-use • Share of women and men in the forestry/land labour market and type of occupation

V. Gender Action Plan

Objective	Action	Indicator	Responsible Institution
Component 1 – Capacity building for improved NDCs and market-based climate finance mechanisms to support NDCs implementation			
Ensure participation of women in the process of NDC analysis as technical experts and stakeholders	- Incorporate gender requirements of gender-balanced expert team in the TOR of sub-contractors - Ensure equal participation of women in the stakeholder consultation - Include gender assessment of the scope of socio-economic assessment of updated NDCs	Status of gender analysis Number of men and women in the composition of expert team and participating in the stakeholder consultation	Project Manager MNREP
Component 2 – Strengthened GHG accounting capacity and enhanced system of MRV			
Identify and monitor gender-related impacts of climate change mitigation measures in AFOLU and urban sectors	- Make sure that National methodologies and step-by-step guidelines for establishing sectoral GHG emission baselines and monitoring GHG emission reductions in municipal and AFOLU sector does incorporate guidance on identifying and monitoring gender-related impacts of climate change mitigation measures	Number of gender indicators in the methodologies	Project team
Component 3 –			
Integrate gender assessment in the scope of pilot MRV projects	- Each pilot MRV project must conduct gender assessment at design stage and integrate relevant gender-disintegrated	Number and scope of gender-disintegrated indicators in the pilot MRV projects	Project team

Objective	Action	Indicator	Responsible Institution
	indicators in the scope of pilot MRV systems. - Lessons learnt report to be prepared by the project shall integrate a chapter on project impacts and findings, as far as gender is concerned.		

ANNEX H. UNDP RISK LOG (TO BE COMPLETED BY UNDP COUNTRY OFFICE)

OFFLINE RISK LOG

Project Title:	**Award ID:**	**Date:**

#	Description	Date Identified	Type	Impact & Probability	Countermeasures / Mngt response	Owner	Submitted, updated by	Last Update	Status
1	Delay at the stage of Project document preparation and approval	June 2018	Operational	A delay at the stage of Project document preparation and approval will postpone the start of the Project, which in its turn will result in less time available to implement the planned activities in particularly to enable the Government to submit update NDC on time in 2020. P = 2 I = 2 Total: 2x2 = 4	Intensive initial consultations with all entities involved in the preparation and approval of the Project	MNREP UNDP	UNDP		
2	The risk that a consensus regarding the scope and level of ambitions of sectoral NDCs is not reached and updated NDCs are not adopted by 2020	June 2018	*Political*	Probability – 3 Impact - 5	The project will work will key Governmental entities, the Ministries of Natural Resources and Environment, Ministry of Energy, Ministry of Forestry and others to come up with well-justified and informed proposal for updated NDCs and its sectoral coverage, including preparation of required economical and environmental justification for the proposed scope and level of ambitions of NDC targets. The Ministry of Natural Resources and Environment, as the key Governmental entity, in charge of	MNREP			Medium

#	Description	Date Identified	Type	Impact & Probability	Countermeasures / Mngt response	Owner	Submitted, updated by	Last Update	Status
					climate policy design and coordination, will take the leading role in this process with project team providing all required technical and intellectual inputs.				
3	Lack of practical experience with climate finance mechanisms and lack of clarity regarding international framework for Article 6 of the Paris Agreement may jeopardize the process of introduction of appropriate climate finance mechanisms in Belarus.	June 2018	*Regulatory*	Probability – 3 Impact - 3	The project should hire a highly experienced international CTA [with at least 60 days/year and 4 missions per year] to help mitigate this risk, with extensive carbon market experience. Design of the project strategy and its implementation structure have been informed by the need to take due account of the development at the international level, as well as national specifics and lack of prior experience with climate finance in Belarus. The project will work in close collaboration with EU4Climate project which should facilitate access to relevant regional and international knowledge and practices, while the project itself will seek to internalize this experience and make it compatible with national circumstances, as well as legal and	UNDP			Medium

#	Description	Date Identified	Type	Impact & Probability	Countermeasures / Mngt response	Owner	Submitted, updated by	Last Update	Status
					regulatory context.				
4	Financial risk is related to the fact that project co-financing partners may lack resources to finance pilot MRV projects under Component 3	June 2018	*Financial*	Probability – 2 Impact - 5	Project's main sources of co-financing under Component 3 will be secured from the officially approved State Sectoral Programs (listed under para 9), as confirmed in the provided letters of co-financing. The Ministry of Environment and Natural Resources as the National Implementing Partner, will facilitate and coordinate this process and monitor timely provision of required inputs for pilot projects. The project will implement adaptive management in the event that co-financing fails to materialize.	UNDP			Medium
5	Environmental/ climate change risk that global increase in temperature will reduce demand for energy (especially in winter) and therefore reduce the envisaged GHG emission reduction impact of the project. However, anticipated climate impacts on forests and peatlands,	June 2018	*Environmental*	Probability – 2 Impact - 2	This is a longer-term risk, which is not expected to manifest itself during the lifetime of the Project. Temperature increases in the near future according to the most recent IPCC estimates even under the business as usual scenario are not expected to be so high that they would completely remove the need for heating of the building stock in Belarus during the	UNDP			Low

#	Description	Date Identified	Type	Impact & Probability	Countermeasures / Mngt response	Owner	Submitted, updated by	Last Update	Status
	another important sources of emissions/sinks in Belarus jeopardize the achievement of GHG emission results.				winter time. In fact, the increased variability of temperatures may make the metering and automatic control of energy use even more important from both the cost and energy saving point of view. Warmer summer months may also increase the demand for cooling. The design of pilot project, once location and scope, are defined will incorporate climate risks assessment for selected eco-systems and provide for appropriate adaptation and risk mitigation measures to maximize envisaged climate benefits.				

ANNEX I. PROVISION OF UNDP COUNTRY OFFICE SERVICES IN IMPLEMENTATION OF THE PROJECT "CAPACITY BUILDING FOR EMISSION TRADING AND STRENGTHENED MRV IN THE REPUBLIC OF BELARUS".

Provided separately.

Provided separately as a file.

Provided separately as a file.

Provided separately as a file.